

## NOTES

forming part of the standalone financial statements

### 16. Other equity

[Item No. III(b), Page F24]

#### A. Retained earnings

The details of movement in retained earnings is as below:

|                                                               | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
|---------------------------------------------------------------|------------------------------|------------------------------|
| Balance as at the beginning of the year                       | 1,09,729.39                  | 1,00,380.17                  |
| Profit for the year                                           | 16,065.13                    | 13,969.70                    |
| Remeasurement of post-employment defined benefit plans        | 327.72                       | (168.92)                     |
| Tax on remeasurement of post-employment defined benefit plans | (82.31)                      | 42.51                        |
| Dividend                                                      | (4,494.07)                   | (4,494.07)                   |
| <b>Balance at the end of the year</b>                         | <b>1,21,545.86</b>           | <b>1,09,729.39</b>           |

(₹ crore)

#### B. Items of other comprehensive income

##### (a) Cash flow hedge reserve

The cumulative effective portion of gains or losses arising from changes in fair value of hedging instruments designated as cash flow hedges are recognised in cash flow hedge reserve. Such changes recognised are reclassified to the statement of profit and loss when the hedged item affects the profit or loss or are included as an adjustment to the cost of the related non-financial hedged item.

The Company has designated certain foreign currency forward contracts, commodity futures, interest rate swaps and interest rate caps and collars as cash flow hedges in respect of foreign exchange and interest rate risks.

The details of movement in cash flow hedge reserve is as below:

|                                                       | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
|-------------------------------------------------------|------------------------------|------------------------------|
| Balance at the beginning of the year                  | (16.94)                      | 77.07                        |
| Other comprehensive income recognised during the year | 90.80                        | (94.01)                      |
| <b>Balance at the end of the year</b>                 | <b>73.86</b>                 | <b>(16.94)</b>               |

(₹ crore)

(i) The details of other comprehensive income recognised during the year is as below:

|                                                                         | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
|-------------------------------------------------------------------------|------------------------------|------------------------------|
| Fair value changes recognised during the year                           | 221.09                       | 12.18                        |
| Fair value changes reclassified to profit and loss/cost of hedged items | (99.75)                      | (137.80)                     |
| Tax impact on above                                                     | (30.54)                      | 31.61                        |
|                                                                         | <b>90.80</b>                 | <b>(94.01)</b>               |

(₹ crore)

(ii) The amount recognised in cash flow hedge reserve (net of tax) is expected to impact the statement of profit and loss within the next one year.

## NOTES

forming part of the standalone financial statements

### 16. Other equity (Contd.)

[Item No. III(b), Page F24]

#### (b) Investment revaluation reserve

Cumulative gains and losses arising from fair value changes of equity investments measured at fair value through other comprehensive income are recognised in investment revaluation reserve. The reserve balance represents such changes recognised net of amounts reclassified to retained earnings on disposal of such investments.

The details of movement in investment revaluation reserve is as below:

|                                                       | (₹ crore)                    |                              |
|-------------------------------------------------------|------------------------------|------------------------------|
|                                                       | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| Balance at the beginning of the year                  | (33,063.87)                  | (9,311.13)                   |
| Other comprehensive income recognised during the year | (3,108.26)                   | (23,729.01)                  |
| Tax Impact on above                                   | 2.36                         | (23.73)                      |
| <b>Balance at the end of the year</b>                 | <b>(36,169.77)</b>           | <b>(33,063.87)</b>           |

### C. Other reserves

#### (a) Securities premium

Securities premium is used to record premium received on issue of shares. The reserve is utilised in accordance with the provisions of the Companies Act, 2013.

The details of movement in securities premium during the year is as below:

|                                       | (₹ crore)                    |                              |
|---------------------------------------|------------------------------|------------------------------|
|                                       | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| Balance at the beginning of the year  | 31,290.24                    | 31,290.24                    |
| <b>Balance at the end of the year</b> | <b>31,290.24</b>             | <b>31,290.24</b>             |

#### (b) Debenture redemption reserve

The provisions of the Companies Act, 2013 read with the related rules required a company issuing debentures to create a Debenture redemption reserve (DRR) of 25% of the value of debentures issued, either through a public issue or on a private placement basis, out of the profits of the company available for payment of dividend. The amounts credited to the DRR can be utilised by the company only to redeem debentures.

As per the recent amendment in the Companies (Share Capital and Debentures) Rules, 2014, a listed company issuing privately placed debentures on or after August 16, 2019, is not required to maintain additional amount in the DRR. Accordingly, the existing balance in the DRR shall be maintained to be utilised only for the redemption of existing debentures issued by the Company before August 16, 2019.

The details of movement in debenture redemption reserve during the year is as below:

|                                       | (₹ crore)                    |                              |
|---------------------------------------|------------------------------|------------------------------|
|                                       | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| Balance at the beginning of the year  | 1,328.75                     | 1,328.75                     |
| <b>Balance at the end of the year</b> | <b>1,328.75</b>              | <b>1,328.75</b>              |

## NOTES

forming part of the standalone financial statements

### 16. Other equity (Contd.)

[Item No. III(b), Page F24]

#### (c) General reserve

Under the erstwhile Companies Act, 1956, a general reserve was created through an annual transfer of net profit at a specified percentage in accordance with applicable regulations. Consequent to the introduction of the Companies Act, 2013 the requirement to mandatory transfer a specified percentage of net profit to general reserve has been withdrawn.

The details of movement in general reserve during the year is as below:

|                                       | (₹ crore)                    |                              |
|---------------------------------------|------------------------------|------------------------------|
|                                       | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| Balance at the beginning of the year  | 12,779.15                    | 12,779.15                    |
| <b>Balance at the end of the year</b> | <b>12,779.15</b>             | <b>12,779.15</b>             |

#### (d) Capital redemption reserve

The Companies Act, 2013 requires that when a company purchases its own shares out of free reserves or securities premium account, a sum equal to the nominal value of the shares so purchased shall be transferred to a capital redemption reserve account. The reserve is utilised in accordance with the provision of Section 69 of the Companies Act, 2013.

The details of movement in capital redemption reserve during the year is as below:

|                                       | (₹ crore)                    |                              |
|---------------------------------------|------------------------------|------------------------------|
|                                       | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| Balance at the beginning of the year  | 133.11                       | 133.11                       |
| <b>Balance at the end of the year</b> | <b>133.11</b>                | <b>133.11</b>                |

#### (e) Capital Reserve

The excess of fair value of net assets acquired over consideration paid in a common control transaction is recognised as capital reserve.

The details of movement in Capital Reserve during the year is as below:

|                                       | (₹ crore)                    |                              |
|---------------------------------------|------------------------------|------------------------------|
|                                       | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| Balance at the beginning of the year  | 3,187.74                     | 3,187.74                     |
| <b>Balance at the end of the year</b> | <b>3,187.74</b>              | <b>3,187.74</b>              |

#### (f) Others

Others primarily represent amounts appropriated out of the statement of profit or loss for unforeseen contingencies.

The details of movement in others during the year is as below:

|                                       | (₹ crore)                    |                              |
|---------------------------------------|------------------------------|------------------------------|
|                                       | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| Balance at the beginning of the year  | 115.77                       | 115.77                       |
| <b>Balance at the end of the year</b> | <b>115.77</b>                | <b>115.77</b>                |

## NOTES

forming part of the standalone financial statements

### 17. Borrowings

[Item No. IV(a)(i) and V(a)(i), Page F24]

#### A. Non-current

|                                                   | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|---------------------------------------------------|-------------------------|-------------------------|
| (₹ crore)                                         |                         |                         |
| <b>(a) Unsecured</b>                              |                         |                         |
| (i) Non-convertible debentures                    | 11,460.64               | 15,156.26               |
| (ii) Term loans from banks/financial institutions | 39,205.81               | 35,884.72               |
|                                                   | <b>50,666.45</b>        | <b>51,040.98</b>        |

#### B. Current

|                                                                                 | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|---------------------------------------------------------------------------------|-------------------------|-------------------------|
| (₹ crore)                                                                       |                         |                         |
| <b>(a) Secured</b>                                                              |                         |                         |
| (i) Repayable on demand from banks                                              | 6.15                    | 0.82                    |
| (ii) Current maturities of long-term borrowings-Loan from Joint Plant Committee | -                       | 2,907.12                |
|                                                                                 | <b>6.15</b>             | <b>2,907.94</b>         |
| <b>(b) Unsecured</b>                                                            |                         |                         |
| (i) Loans from banks/financial institutions                                     | 5,400.00                | 1,598.47                |
| (ii) Current maturities of long-term borrowings                                 | 5,119.51                | 2,161.04                |
| (iii) Commercial papers                                                         | 3,512.07                | 1,972.99                |
|                                                                                 | <b>14,031.58</b>        | <b>5,732.50</b>         |
|                                                                                 | <b>14,037.73</b>        | <b>8,640.44</b>         |

(i) As at March 31, 2026, ₹6.15 crore (March 31, 2025: ₹2,907.94 crore) of the total outstanding borrowings were secured by a charge on property, plant and equipment, inventories, receivables and other current assets.

#### (ii) Loan from Joint Plant Committee-Steel Development Fund

It is secured by mortgages on all present and future immovable properties wherever situated and hypothecation of movable assets, excluding land and building mortgaged in favour of Government of India under the deed of mortgage dated April 13, 1967 and in favour of Government of Bihar under two deeds of mortgage dated May 11, 1963, immovable properties and movable assets of the Tube Division, Bearings Division, Ferro Alloys Division and Cold Rolling Complex (West) at Tarapur and all investments and book debts of the Company subject to the prior charges created and/or to be created in favour of the bankers for securing borrowing for the working capital requirement and charges created and/or to be created on specific items of machinery and equipment procured/to be procured under deferred payment schemes/bill re-discounting schemes/asset credit schemes.

The loan was repayable in 16 equal semi-annual instalments after completion of four years from the date of the tranche.

The Company filed a writ petition being WP No. 70 of 2006 (subsequently renumbered as WPO 70 of 2006) before the High Court at Calcutta in February 2006 claiming waiver of the outstanding loan and interest and refund of the balance lying with Steel Development Fund ("SDF"). The Writ Petition was decided by judgment dated August 3, 2022. By the judgment, the High Court declared that the corpus of SDF can only be utilised for the benefit of the main steel producers. However, the waiver of loan as sought by the Company was not allowed. Hence, against the judgment the Company filed an appeal in the High Court being APO No. 85 of 2022.

## NOTES

forming part of the standalone financial statements

### 17. Borrowings (Contd.)

[Item No. IV(a)(i) and V(a)(i), Page F24]

The appeal has been decided on January 3, 2023. By the final order, High Court has directed the Company to submit a fresh representation to Union of India and fixed a time of three months for Union of India to take a decision on the representation. The Company has submitted the representation on March 28, 2023.

The representation of the Company has been rejected by Government of India (Ministry of Steel) on December 29, 2023. By a letter of January 2024, the Company sought No-objection certificate ("NoC") from Joint Plant Committee ("JPC") for scheme of amalgamation of two of its subsidiary companies, namely Bhubaneswar Power Private Limited and Indian Steel and Wire Products Limited. By its letter dated February 22, 2024, while NoC has been issued for the merger, JPC has directed the Company to repay the outstanding SDF loans with interest within one month.

The Company challenged the rejection of representation by the Union of India (vide its communication dated December 29, 2023) and the direction of JPC to the Company to repay the outstanding loans by filing a writ petition being WPO No. 227 of 2024. It was also the contention of the Company that it is entitled to refund of all sums paid by it to SDF and that the Union of India has no right to the same.

On May 24, 2024, the Calcutta High Court (Single Bench) dismissed the writ petition filed by the Company. The Company filed an appeal against the aforesaid before the Calcutta High Court (Division Bench). The appeal filed is pending for hearing.

In the meanwhile, on January 17, 2025, the Company received a demand from the Ministry of Steel to make payment of outstanding balance of SDF loan. The Company made a payment of ₹2,824.15 crore against the outstanding loan (including funded interest) in April, 2025. Subsequently, pursuant to an additional demand raised by JPC, the Company made payment of ₹145.95 crore on August 22, 2025, outstanding as of date. The payments have been made without prejudice to the company's rights and contentions in the appeal pending before the Hon'ble Calcutta High Court. The same was communicated to the Ministry of Steel.

- (iii) As at March 31, 2026, the register of charges of the Company as available in records of the Ministry of Corporate Affairs (MCA) includes charges that were created/modified since the inception of the Company. There are certain charges which are historic in nature and it involves practical challenges in obtaining no-objection certificates ('NOCs') from the charge holders of such charges, despite repayment of the underlying loans. The Company is in the continuous process of filing the charge satisfaction e-form with MCA, within the timelines, as and when it receives NOCs from the respective charge holders.
- (iv) The Company has filed quarterly returns or statements with the banks in lieu of the sanctioned working capital facilities and the discrepancy noted in such quarterly return or statement with the books of accounts were immaterial for the year ended March 31, 2026.

## NOTES

forming part of the standalone financial statements

### 17. Borrowings (Contd.)

[Item No. IV(a)(i) and V(a)(i), Page F24]

The Company has filed quarterly returns or statements with the banks in lieu of the sanctioned working capital facilities which are in agreement with books of account other than those as set out below for the year ended March 31, 2025.

(₹ crore)

| Name of the Bank                            | Aggregate working capital limits sanctioned | Nature of Current Asset offered as Security | Quarter ended      | Amount disclosed as per quarterly return/statement | Amount as per books of account | Difference | Reason for variance                             |
|---------------------------------------------|---------------------------------------------|---------------------------------------------|--------------------|----------------------------------------------------|--------------------------------|------------|-------------------------------------------------|
| State Bank of India and consortium of banks | 1,850.00*                                   | Refer Note 1 below                          | September 30, 2024 | 1,467.04                                           | 1,321.92                       | 145.12     | Incorrect amount of Export advances             |
| State Bank of India and consortium of banks | 1,850.00*                                   | Refer Note 1 below                          | December 31, 2024  | 7,033.25                                           | 7,034.08                       | (0.83)     | Incorrect amount of creditor for Goods under LC |

\*The working capital consortium limit as per the agreement is ₹2,000 crore, out of which the available sanction limits for utilisation is ₹1,850 crore. However, the corresponding charge created is ₹2,000 crore.

**Note 1:** Pari-passu charge on the Company's entire current assets namely stock of raw materials, finished and semi-finished goods, stocks-in-process, consumables stores and spares and book debts at its plant sites or anywhere else, in favour of the Bank, by way of hypothecation.

(v) The details of major unsecured borrowings as at March 31, 2026 are as below:

#### (a) Non-convertible Debentures (NCD):

The details of debentures issued/redeemed by the Company are as below:

- 7.76% p.a. interest bearing 15,000 debentures of face value ₹10,00,000 each are redeemable at par on September 20, 2032.
- 9.84% p.a. interest bearing 43,150 debentures of face value ₹10,00,000 each are redeemable at par in 4 equal annual instalments commencing from February 28, 2031.
- 7.65% p.a. interest bearing 3,00,000 debentures of face value ₹1,00,000 each are redeemable at par on February 21, 2030.
- 8.03% p.a. interest bearing 2,15,000 debentures of face value ₹1,00,000 each are redeemable at par on February 25, 2028.
- 7.50% p.a. interest bearing 5,000 debentures of face value ₹10,00,000 each are redeemable at par on September 20, 2027.
- 7.79% p.a. interest bearing 2,70,000 debentures of face value ₹1,00,000 each are redeemable at par on March 26, 2027.
- 8.15% p.a. interest bearing 10,000 debentures of face value ₹10,00,000 each are redeemable at par on October 3, 2026.

#### (b) Term loans from banks/financial institutions

The details of loans from banks and financial institutions availed/repaid by the Company are as below:

- Rupee loan amounting **₹956.00** crore (March 31, 2025: ₹1,320.00 crore) is repayable in 2 semi-annual instalments, the next instalment is due on February 28, 2030.
- Rupee loan amounting **₹1,000.00** crore (March 31, 2025: ₹1,000.00 crore) is repayable on August 30, 2029.
- USD 750 million equivalent to **₹7,113.56** crore (March 31, 2025: ₹6,411.00 crore) loan is repayable in 3 equal annual instalments, the first instalment is due on February 12, 2029.
- Rupee loan amounting **₹500.00** crore (March 31, 2025: ₹500.00 crore) is repayable on December 11, 2027.
- Rupee loan amounting **₹100.00** crore (March 31, 2025: ₹100.00 crore) is repayable on December 8, 2027.

## NOTES

forming part of the standalone financial statements

### 17. Borrowings (Contd.)

[Item No. IV(a)(i) and V(a)(i), Page F24]

- (vi) Rupee loan amounting **₹475.00** crore (March 31, 2025: Nil) is repayable in 20 semi-annual instalments, the next instalment is due on September 30, 2027.
- (vii) Rupee loan amounting **₹400.00** crore (March 31, 2025: Nil) is repayable in 11 annual instalments, the next instalment is due on June 25, 2027.
- (viii) Rupee loan amounting **₹272.25** crore (March 31, 2025: Nil) is repayable in 19 semi-annual instalments, the next instalment is due on March 31, 2027.
- (ix) Rupee loan amounting **₹1,500.00** crore (March 31, 2025: Nil) is repayable in 18 semi-annual instalments, the next instalment is due on February 26, 2027.
- (x) Rupee loan amounting **₹1,000.00** crore (March 31, 2025: Nil) is repayable in 18 semi-annual instalments, the next instalment is due on December 31, 2026.
- (xi) Rupee loan amounting **₹595.00** crore (March 31, 2025: ₹595.00 crore) is repayable in 4 semi-annual instalments, the next instalment is due on October 16, 2026.
- (xii) Rupee loan amounting **₹1,500.00** crore (March 31, 2025: Nil) is repayable in 20 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xiii) Rupee loan amounting **₹291.00** crore (March 31, 2025: ₹294.00 crore) is repayable in 2 annual instalments, the next instalment is due on September 30, 2026.
- (xiv) Rupee loan amounting **₹372.00** crore (March 31, 2025: ₹380.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xv) Rupee loan amounting **₹558.00** crore (March 31, 2025: ₹570.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xvi) Rupee loan amounting **₹465.00** crore (March 31, 2025: ₹475.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xvii) Rupee loan amounting **₹930.00** crore (March 31, 2025: ₹950.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xviii) Rupee loan amounting **₹1,960.00** crore (March 31, 2025: ₹2,000.00 crore) is repayable in 18 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xix) Rupee loan amounting **₹336.00** crore (March 31, 2025: ₹343.00 crore) is repayable in 16 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xx) Rupee loan amounting **₹768.00** crore (March 31, 2025: ₹784.00 crore) is repayable in 16 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xxi) Rupee loan amounting **₹816.00** crore (March 31, 2025: ₹833.00 crore) is repayable in 16 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xxii) Rupee loan amounting **₹1,000.00** crore (March 31, 2025: Nil) is repayable in 18 semi-annual instalments, starting on September 30, 2026.
- (xxiii) Rupee loan amounting **₹400.00** crore (March 31, 2025: ₹400.00 crore) is repayable on September 14, 2027.
- (xxiv) Rupee loan amounting **₹465.00** crore (March 31, 2025: ₹475.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 7, 2026.

## NOTES

forming part of the standalone financial statements

### 17. Borrowings (Contd.)

[Item No. IV(a)(i) and V(a)(i), Page F24]

- (xxv) Rupee loan amounting **₹186.00** crore (March 31, 2025: ₹190.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 1, 2026.
- (xxvi) Rupee loan amounting **₹511.50** crore (March 31, 2025: ₹522.50 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 1, 2026.
- (xxvii) Rupee loan amounting **₹485.00** crore (March 31, 2025: ₹495.00 crore) is repayable in 17 semi-annual instalments, the next instalment is due on August 19, 2026.
- (xxviii) Rupee loan amounting **₹686.00** crore (March 31, 2025: ₹700.00 crore) is repayable in 7 annual instalments, the next instalment is due on August 12, 2026.
- (xxix) Rupee loan amounting **₹2,910.00** crore (March 31, 2025: ₹2,970.00 crore) is repayable in 17 semi-annual instalments, the next instalment is due on July 22, 2026.
- (xxx) Rupee loan amounting **₹350.00** crore (March 31, 2025: ₹400.00 crore) is repayable in 14 equal semi-annual instalments, the next instalment is due on July 1, 2026.
- (xxxi) Rupee loan amounting **₹360.00** crore (March 31, 2025: ₹520.00 crore) is repayable in 3 semi-annual instalments, the next instalment is due on June 30, 2026.
- (xxxii) Rupee loan amounting **₹658.00** crore (March 31, 2025: ₹686.00 crore) is repayable in 28 quarterly instalments, the next instalment is due on June 30, 2026.
- (xxxiii) Rupee loan amounting **₹495.00** crore (March 31, 2025: ₹500.00 crore) is repayable in 32 quarterly instalments, the next instalment is due on June 30, 2026.
- (xxxiv) Rupee loan amounting **₹1,410.00** crore (March 31, 2025: ₹1,440.00 crore) is repayable in 14 semi-annual instalments, the next instalment is due on June 30, 2026.
- (xxxv) Rupee loan amounting **₹1,710.00** crore (March 31, 2025: ₹1,746.00 crore) is repayable in 15 semi-annual instalments, the next instalment is due on June 30, 2026.
- (xxxvi) Rupee loan amounting **₹294.00** crore (March 31, 2025: ₹297.00 crore) is repayable in 32 quarterly instalments, the next instalment is due on June 30, 2026.
- (xxxvii) Rupee loan amounting **₹495.00** crore (March 31, 2025: Nil) is repayable in 19 semi-annual instalments, the next instalment is due on June 30, 2026.
- (xxxviii) Rupee loan amounting **₹930.00** crore (March 31, 2025: ₹950.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on June 28, 2026.
- (xxxix) Rupee loan amounting **₹1,245.00** crore (March 31, 2025: ₹1,380.00 crore) is repayable in 11 semi-annual instalments, the next instalment is due on June 19, 2026.
- (xl) Rupee loan amounting **₹1,900.00** crore (March 31, 2025: ₹1,940.00 crore) is repayable in 15 semi-annual instalments, the next instalment is due on June 14, 2026.
- (xli) Rupee loan amounting **₹321.75** crore (March 31, 2025: Nil) is repayable in 19 semi-annual instalments, the next instalment is due on June 5, 2026.
- (xlii) Rupee loan amounting **₹1,000.00** crore (March 31, 2025: Nil) is repayable in 36 quarterly instalments, the next instalment is due on June 4, 2026.
- (xliii) Rupee loan amounting **₹194.00** crore (March 31, 2025: ₹198.00 crore) is repayable in 17 semi-annual instalments, the next instalment is due on May 30, 2026.



## NOTES

forming part of the standalone financial statements

### 17. Borrowings (Contd.)

[Item No. IV(a)(i) and V(a)(i), Page F24]

- (xlv) Rupee loan amounting **₹760.00** crore (March 31, 2025: ₹850.00 crore) is repayable in 9 semi-annual instalments, the next instalment is due on May 15, 2026.
- (xlv) USD **146.67** million loan equivalent to **₹1,253.71** crore outstanding as on March 31, 2025 has been repaid during the year.
- (xlvi) Rupee loan amounting **₹686.00** crore as on March 31, 2025 has been pre-paid during the year.
- (xlvii) Rupee loan amounting **₹960.00** crore as on March 31, 2025 has been pre-paid during the year.
- (xlviii) Rupee loan amounting **₹485.00** crore as on March 31, 2025 has been pre-paid during the year.
- (xlix) Rupee loan amounting **₹1,500.00** crore as on March 31, 2025 has been pre-paid during the year.
- (vi) Currency and interest exposure of borrowings including current maturities is as below:

(₹ crore)

|              | As at March 31, 2026 |                  |                  | As at March 31, 2025 |                  |                  |
|--------------|----------------------|------------------|------------------|----------------------|------------------|------------------|
|              | Fixed rate           | Floating rate    | Total            | Fixed rate           | Floating rate    | Total            |
| INR          | 24,077.43            | 33,559.92        | 57,637.35        | 18,728.53            | 33,340.80        | 52,069.33        |
| USD          | -                    | 7,066.83         | 7,066.83         | -                    | 7,612.09         | 7,612.09         |
| <b>Total</b> | <b>24,077.43</b>     | <b>40,626.75</b> | <b>64,704.18</b> | <b>18,728.53</b>     | <b>40,952.89</b> | <b>59,681.42</b> |

INR-Indian Rupees, USD-United States Dollars.

- (vii) Majority of floating rate borrowings are bank borrowings bearing interest rates based on Marginal Cost of Lending Rate (MCLR), Repo rate, T-Bills and Secured Overnight Financing Rate (SOFR). Of the total floating rate borrowings as at March 31, 2026, **₹4,979.49** crore (March 31, 2025: ₹1,253.71 crore) has been hedged using interest rate swaps, with contracts covering period of more than one year.
- (viii) Maturity profile of borrowings including current maturities is as below:

(₹ crore)

|                                           | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|-------------------------------------------|-------------------------|-------------------------|
| Not later than one year or on demand      | 14,039.18               | 8,643.10                |
| Later than one year but not two years     | 5,394.81                | 4,856.00                |
| Later than two years but not three years  | 3,956.50                | 5,929.00                |
| Later than three years but not four years | 9,046.25                | 3,567.00                |
| Later than four years but not five years  | 7,523.22                | 9,063.25                |
| More than five years                      | 24,797.32               | 27,685.25               |
|                                           | <b>64,757.28</b>        | <b>59,743.60</b>        |
| Less: Capitalisation of transaction costs | 53.10                   | 62.18                   |
|                                           | <b>64,704.18</b>        | <b>59,681.42</b>        |

- (ix) Some of the Company's major financing arrangements include financial covenants, which require compliance to certain debt-equity and debt coverage ratios. Additionally, certain negative covenants may limit the Company's ability to borrow additional funds or to incur additional liens, and/or provide for increased costs in case of breach. The Company has satisfied all the covenants required in terms of borrowings.

## NOTES

forming part of the standalone financial statements

### 18. Other financial liabilities

[Item No. IV(a)(iv) and V(a)(v), Page F24]

#### A. Non-current

|                                     | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|-------------------------------------|-------------------------|-------------------------|
| (a) Creditors for other liabilities | 852.58                  | 1,146.69                |
|                                     | <b>852.58</b>           | <b>1,146.69</b>         |

#### B. Current

|                                              | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|----------------------------------------------|-------------------------|-------------------------|
| (a) Interest accrued but not due             | 440.50                  | 465.94                  |
| (b) Unpaid dividends                         | 130.70                  | 118.52                  |
| (c) Creditors for accrued wages and salaries | 2,023.26                | 1,695.31                |
| (d) Creditors for other liabilities          | 6,951.51                | 7,568.12                |
|                                              | <b>9,545.97</b>         | <b>9,847.89</b>         |

Non-current and current creditors for other liabilities include:

- (a) creditors for capital supplies and services **₹2,401.03** crore (March 31, 2025: ₹3,413.02 crore).
- (b) as on March 31, 2025, out of the total consideration paid for acquisition of a subsidiary in 2022-23, ₹774.95 crore held towards resolution and payments of litigations.
- (c) liability for employee family benefit scheme **₹289.19** crore (March 31, 2025: ₹282.64 crore).
- (d) liability for family protection scheme **₹187.45** crore (March 31, 2025: ₹198.94 crore).
- (e) rebate liabilities arising from volume and price discounts/concessions **₹1,138.55** crore (March 31, 2025: ₹1,069.83 crore)

## NOTES

forming part of the standalone financial statements

### 19. Provisions

[Item No. IV(b) and V(b), Page F24]

#### A. Non-current

|                       | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|-----------------------|-------------------------|-------------------------|
| (a) Employee benefits | 2,211.69                | 2,484.15                |
| (b) Others            | 658.81                  | 669.55                  |
|                       | <b>2,870.50</b>         | <b>3,153.70</b>         |

#### B. Current

|                       | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|-----------------------|-------------------------|-------------------------|
| (a) Employee benefits | 489.89                  | 456.00                  |
| (b) Others            | 768.70                  | 735.34                  |
|                       | <b>1,258.59</b>         | <b>1,191.34</b>         |

- (i) Non-current and current provision for employee benefits include provision for leave salaries ₹1,119.39 crore (March 31, 2025: ₹1,361.68 crore) and provision for early separation scheme ₹1,512.70 crore (March 31, 2025: ₹1,549.05 crore).
- (ii) As per the leave policy of the Company, an employee is entitled to be paid the accumulated leave balance on separation. The Company presents provision for leave salaries as current and non-current based on actuarial valuation considering estimates of availment of leave, separation of employee, etc.
- (iii) Non-current and current other provisions include:
- (a) provision for compensatory afforestation, mine closure and rehabilitation obligations ₹1,328.17 crore (March 31, 2025: ₹1,404.89 crore). These amounts become payable upon closure of the mines and are expected to be incurred over a period of 1 to 44 years.
- (b) provision for reimbursement of payments payable to a subsidiary ₹99.34 crore (March 31, 2025: Nil)
- (iv) Details of movement in other provisions is as below:

|                                       | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
|---------------------------------------|------------------------------|------------------------------|
| Balance at the beginning of the year  | 1,404.89                     | 1,487.80                     |
| Recognised/(released) during the year | 61.97                        | (40.73)                      |
| Utilised during the year              | (39.35)                      | (0.07)                       |
| Other re-classifications              | -                            | (42.11)                      |
| <b>Balance at the end of the year</b> | <b>1,427.51</b>              | <b>1,404.89</b>              |

## NOTES

forming part of the standalone financial statements

### 20. Retirement benefit obligations and assets

[Item No. I(h), IV(c) and V(c), Page F24]

#### I. Retirement benefit obligations

##### A. Non-current

|                                      | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|--------------------------------------|-------------------------|-------------------------|
| (a) Retiring gratuities              | -                       | 355.65                  |
| (b) Post-retirement medical benefits | 2,029.78                | 1,746.13                |
| (c) Other defined benefits           | 321.62                  | 348.37                  |
|                                      | <b>2,351.40</b>         | <b>2,450.15</b>         |

##### B. Current

|                                      | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|--------------------------------------|-------------------------|-------------------------|
| (a) Post-retirement medical benefits | 107.42                  | 96.34                   |
| (b) Other defined benefits           | 25.51                   | 26.54                   |
|                                      | <b>132.93</b>           | <b>122.88</b>           |

- (i) Detailed disclosure in respect of post-retirement defined benefit schemes is provided in note 33, page F94.
- (ii) Other defined benefits include shortfall on account of interest cost on provident fund of ₹24.42 crore (March 31, 2025: ₹24.42 crore).

#### II. Retirement benefit assets

##### A. Non-current

|                         | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|-------------------------|-------------------------|-------------------------|
| (a) Retiring gratuities | 70.52                   | -                       |
|                         | <b>70.52</b>            | -                       |

## NOTES

forming part of the standalone financial statements

### 21. Deferred income

[Item No. IV(d) and V(d), Page F24]

#### A. Non - Current

|                                                      | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|------------------------------------------------------|-------------------------|-------------------------|
| (a) Grants relating to property, plant and equipment | 221.88                  | 130.27                  |
| (b) Revenue grants                                   | 176.96                  | 94.79                   |
| (c) Other deferred income                            | 2.66                    | 89.22                   |
|                                                      | <b>401.50</b>           | <b>314.28</b>           |

#### B. Current

|                           | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|---------------------------|-------------------------|-------------------------|
| (a) Revenue grants        | 5.17                    | 5.60                    |
| (b) Other deferred income | 19.87                   | 16.62                   |
|                           | <b>25.04</b>            | <b>22.22</b>            |

## NOTES

forming part of the standalone financial statements

### 22. Other liabilities

[Item No. IV(f) and V(f), Page F24]

#### A. Non-current

|                           | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|---------------------------|-------------------------|-------------------------|
| (a) Statutory dues        | 34.25                   | 30.78                   |
| (b) Other credit balances | 2,793.48                | 2,480.23                |
|                           | <b>2,827.73</b>         | <b>2,511.01</b>         |

#### B. Current

|                                                    | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|----------------------------------------------------|-------------------------|-------------------------|
| (a) Advances received from customers               | 1,586.93                | 1,442.42                |
| (b) Employee recoveries and employer contributions | 30.46                   | 33.04                   |
| (c) Statutory dues                                 | 8,684.81                | 9,888.29                |
| (d) Other credit balances                          | 754.60                  | 750.00                  |
|                                                    | <b>11,056.80</b>        | <b>12,113.75</b>        |

- (i) As on March 31, 2025, current advance from customer included an interest-bearing advance of ₹374.21 crore which has been adjusted against export of steel products. Amount of revenue recognised for the year ended March 31, 2026, in respect of such advances outstanding at the beginning of the year is **₹464.92** crore (2024-25: ₹1,465.61 crore).
- (ii) Statutory dues primarily relate to payables in respect of GST, excise duty, service tax, sales tax, electricity duty, water tax, VAT tax deducted at source and royalties. It also includes provision for demand notices received against shortfall in dispatch of Chromite ore from the mines **₹818.01** crore (March 31, 2025: ₹818.01 crore). The demand notices have been challenged before the Hon'ble High Court of Orissa and as per the court direction, an amount of **₹218.50** crore (March 31, 2025: ₹218.50 crore) has been paid under protest.
- (iii) Non-current and current other credit balance includes GST compensation cess and interest thereon amounting to **₹2,727.11** crore (March 31, 2025: ₹2,451.59 crore) and **₹754.60** crore (March 31, 2025: ₹750.00 crore) against sale of property, plant and equipment.

## NOTES

forming part of the standalone financial statements

### 23. Trade payables

[Item No. V(a)(iii), Page F24]

#### A. Total outstanding dues of micro and small enterprises

(₹ crore)

|                                     | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|-------------------------------------|-------------------------|-------------------------|
| Dues of micro and small enterprises | 1,597.51                | 1,236.18                |
|                                     | <b>1,597.51</b>         | <b>1,236.18</b>         |

#### B. Total outstanding dues of creditors other than micro and small enterprises

(₹ crore)

|                                         | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|-----------------------------------------|-------------------------|-------------------------|
| (a) Creditors for supplies and services | 16,778.21               | 12,902.73               |
| (b) Acceptances                         | 6,735.57                | 6,462.20                |
|                                         | <b>23,513.78</b>        | <b>19,364.93</b>        |

**C.** Amount due to micro and small enterprises as defined in the “The Micro, Small and Medium Enterprises Development Act, 2006” (MSMED Act) has been determined to the extent such parties have been identified on the basis of information available with the Company. The disclosures relating to micro and small enterprises is as below:

(₹ crore)

|                                                                                                                                                                                                                                                                                    | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|-------------------------|
| (i) Principal amount remaining unpaid to supplier at the end of the year*                                                                                                                                                                                                          | 1,937.93                | 1,592.65                |
| (ii) Interest due thereon remaining unpaid to supplier at the end of the year                                                                                                                                                                                                      | 8.67                    | 11.50                   |
| (iii) Amount of interest paid in terms of section 16 of the MSMED Act, 2006, along with the amount of the payment made to the supplier beyond the appointed day during each accounting year                                                                                        | -                       | -                       |
| (iv) Amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under this Act                                                                     | 37.16                   | 32.93                   |
| (v) Amount of interest accrued and remaining unpaid at the end of the year                                                                                                                                                                                                         | 45.83                   | 44.43                   |
| (vi) Amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under section 23 of MSMED Act, 2006 | 44.43                   | 51.67                   |

\* Included within other financial liabilities ₹340.42 crore (March 31, 2025: ₹356.47 crore) towards dues of micro and small enterprises.

#### D. Ageing schedule of trade payables is as below:

As at March 31, 2026

(₹ crore)

|                                               | Not due          | Outstanding for following periods from due date of payment |              |              |                   | Total            |
|-----------------------------------------------|------------------|------------------------------------------------------------|--------------|--------------|-------------------|------------------|
|                                               |                  | Less than 1 year                                           | 1-2 years    | 2-3 years    | More than 3 years |                  |
| Undisputed dues - micro and small enterprises | 1,117.15         | 9.62                                                       | -            | -            | -                 | 1,126.77         |
| Undisputed dues - Others                      | 17,658.95        | 1,972.32                                                   | 40.22        | 30.35        | 36.69             | 19,738.53        |
| Disputed dues - micro and small enterprises   | -                | -                                                          | -            | -            | -                 | -                |
| Disputed dues - Others                        | -                | -                                                          | -            | -            | 18.17             | 18.17            |
|                                               | <b>18,776.10</b> | <b>1,981.94</b>                                            | <b>40.22</b> | <b>30.35</b> | <b>54.86</b>      | <b>20,883.47</b> |
| Add: Unbilled dues*                           |                  |                                                            |              |              |                   | 4,227.82         |
| <b>Total trade payables</b>                   |                  |                                                            |              |              |                   | <b>25,111.29</b> |

\* Includes dues of micro and small enterprises of ₹470.74 crore.

## NOTES

forming part of the standalone financial statements

### 23. Trade payables (Contd.)

[Item No. V(a)(iii), Page F24]

As at March 31, 2025

|                                               | (₹ crore)        |                                                            |              |              |                   |
|-----------------------------------------------|------------------|------------------------------------------------------------|--------------|--------------|-------------------|
|                                               | Not due          | Outstanding for following periods from due date of payment |              |              |                   |
|                                               |                  | Less than 1 year                                           | 1-2 years    | 2-3 years    | More than 3 years |
| Undisputed dues - micro and small enterprises | 878.48           | 64.09                                                      | -            | -            | -                 |
| Undisputed dues - Others                      | 14,031.77        | 2,000.42                                                   | 30.35        | 16.40        | 23.75             |
| Disputed dues - micro and small enterprises   | -                | -                                                          | -            | -            | -                 |
| Disputed dues - Others                        | -                | -                                                          | -            | -            | 18.17             |
|                                               | <b>14,910.25</b> | <b>2,064.51</b>                                            | <b>30.35</b> | <b>16.40</b> | <b>41.92</b>      |
| Add: Unbilled dues*                           |                  |                                                            |              |              |                   |
|                                               |                  |                                                            |              |              | 3,537.68          |
| <b>Total trade payables</b>                   |                  |                                                            |              |              | <b>20,601.11</b>  |

\* Includes dues of micro and small enterprises of ₹293.61 crore.

- (i) The Company has trade payables balance amounting to **₹8,954.99** crore as at March 31, 2026, which are part of supplier finance arrangements.

Out of which, as on March 31, 2026, trade payables include an amount of **₹8,315.02** crore which represents extended interest-bearing credit offered by the supplier and is backed by letter of credit (LC). The credit period offered by the supplier ranges upto a maximum of 180 days. Under the letter of credit, the supplier is eligible to receive payment from the negotiating bank prior to the expiry of the extended credit period. The interest for the extended credit period payable to the bank on maturity of the LC is presented within finance cost. Out of the above supplier has received payment of **₹6,434.71** crore as at March 31, 2026 from the finance provider for which the Company has provided its acceptance to banks. There is no comparable trade payables that are not part of the supplier finance arrangement against the mentioned transaction.

In respect of **₹639.97** crore wherein the suppliers entitled to avail early payment. Out of the above supplier has received payment of **₹639.97** crore as at March 31, 2026 from the finance provider. The credit period ranges between 30-60 days which is comparable to the credit period offered by other suppliers.

There is no non-cash changes in the carrying amounts of the financial liabilities which form part of supplier finance. There were no material business combinations or foreign exchange differences that would affect the liabilities under the supplier finance arrangement in either period.

Further, the Company has not provided comparative information in respect of the amendments to Ind AS 7 and Ind AS 107 relating to supplier finance arrangements, as it has applied the transitional relief available on initial adoption of these amendments, which allows entities not to present comparative disclosures for prior periods.

- (ii) Acceptance of **₹6,735.57** crore includes acceptances of **₹300.86** crore which do not form part of supplier finance arrangement.



## NOTES

forming part of the standalone financial statements

### 24. Revenue from operations

[Item No. I, Page 25]

|                                              | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
|----------------------------------------------|------------------------------|------------------------------|
| (a) Sale of products                         | 1,36,445.25                  | 1,29,303.98                  |
| (b) Sale of power and water                  | 1,517.78                     | 1,561.54                     |
| (c) Other operating revenues <sup>(ii)</sup> | 1,757.19                     | 1,651.14                     |
|                                              | <b>1,39,720.22</b>           | <b>1,32,516.66</b>           |

(i) Revenue from contracts with customers disaggregated on the basis of geographical region and major businesses are as below:

|                     | Year ended March 31, 2026 |                  |                    |
|---------------------|---------------------------|------------------|--------------------|
|                     | India                     | Outside India    | Total              |
| (a) Steel           | 1,22,535.07               | 9,445.64         | 1,31,980.71        |
| (b) Power and water | 1,517.78                  | -                | 1,517.78           |
| (c) Others          | 3,239.51                  | 1,225.03         | 4,464.54           |
|                     | <b>1,27,292.36</b>        | <b>10,670.67</b> | <b>1,37,963.03</b> |

|                     | Year ended March 31, 2025 |                 |                    |
|---------------------|---------------------------|-----------------|--------------------|
|                     | India                     | Outside India   | Total              |
| (a) Steel           | 1,16,292.61               | 6,532.85        | 1,22,825.46        |
| (b) Power and water | 1,561.54                  | -               | 1,561.54           |
| (c) Others          | 5,310.95                  | 1,167.57        | 6,478.52           |
|                     | <b>1,23,165.10</b>        | <b>7,700.42</b> | <b>1,30,865.52</b> |

(ii) Other operating revenues include income from export, sale of scrap and other incentive schemes.

(iii) There are no significant adjustments between the contracted price and revenue recognised.

### 25. Other income

[Item No. II, Page 25]

|                                                                                                                                   | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
|-----------------------------------------------------------------------------------------------------------------------------------|------------------------------|------------------------------|
| (a) Dividend income                                                                                                               | 566.77                       | 297.35                       |
| (b) Interest income                                                                                                               | 1,473.97                     | 1,697.86                     |
| (c) Net gain/(loss) on sale/fair value changes of mutual funds                                                                    | 127.92                       | 197.15                       |
| (d) Gain/(loss) on sale of property, plant and equipment including intangible assets (net of loss on assets scrapped/written off) | (149.60)                     | (77.60)                      |
| (e) Gain/(loss) on cancellation of forwards, swaps and options                                                                    | 102.33                       | 67.83                        |
| (f) Other miscellaneous income                                                                                                    | 44.31                        | 64.31                        |
|                                                                                                                                   | <b>2,165.70</b>              | <b>2,246.90</b>              |

(i) Dividend income includes income from investments carried at fair value through other comprehensive income **₹445.83** crore (2024-25: ₹218.07 crore).

(ii) Interest income represents income on financial assets carried at amortised cost **₹1,013.79** crore (2024-25: ₹1,142.12 crore).

## NOTES

forming part of the standalone financial statements

### 26. Changes in inventories of finished and semi-finished goods, stock-in-trade and work in-progress

[Item No. IV(c), Page 25]

|                                                 | (₹ crore)                    |                              |
|-------------------------------------------------|------------------------------|------------------------------|
|                                                 | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| <b>Inventories at the end of the year</b>       |                              |                              |
| (a) Finished and semi-finished goods            | 8,211.86                     | 7,836.90                     |
| (b) Stock-in-trade                              | 31.23                        | 41.16                        |
|                                                 | <b>8,243.09</b>              | <b>7,878.06</b>              |
| <b>Inventories at the beginning of the year</b> |                              |                              |
| (a) Work-in-progress                            | -                            | 0.20                         |
| (b) Finished and semi-finished goods            | 7,836.90                     | 8,167.27                     |
| (c) Stock-in-trade                              | 41.16                        | 41.25                        |
|                                                 | <b>7,878.06</b>              | <b>8,208.72</b>              |
| <b>Increase/(decrease)</b>                      | <b>365.03</b>                | <b>(330.66)</b>              |

### 27. Employee benefits expense

[Item No. IV(d), Page 25]

|                                               | (₹ crore)                    |                              |
|-----------------------------------------------|------------------------------|------------------------------|
|                                               | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| (a) Salaries and wages                        | 6,288.10                     | 6,502.30                     |
| (b) Contribution to provident and other funds | 691.38                       | 671.08                       |
| (c) Staff welfare expenses                    | 776.22                       | 836.70                       |
|                                               | <b>7,755.70</b>              | <b>8,010.08</b>              |

During the year ended March 31, 2026, the Company has recognised an amount of ₹40.66 crore (2024-25: ₹32.91 crore) as remuneration to key managerial personnel. The details of such remuneration is as below:

|                                       | (₹ crore)                    |                              |
|---------------------------------------|------------------------------|------------------------------|
|                                       | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| (a) Short-term employee benefits      | 37.05                        | 31.29                        |
| (b) Post-employment benefits          | 3.60                         | 1.50                         |
| (c) Other long-term employee benefits | 0.01                         | 0.12                         |
|                                       | <b>40.66</b>                 | <b>32.91</b>                 |

## NOTES

forming part of the standalone financial statements

### 28. Finance costs

[Item No. IV(e), Page 25]

|                                                   | Year ended<br>March 31, 2026 | (₹ crore)<br>Year ended<br>March 31, 2025 |
|---------------------------------------------------|------------------------------|-------------------------------------------|
| <b>Interest expense on:</b>                       |                              |                                           |
| (a) Bonds, debentures, bank borrowings and others | 5,748.12                     | 4,940.03                                  |
| (b) Lease obligations                             | 374.57                       | 358.11                                    |
|                                                   | <b>6,122.69</b>              | <b>5,298.14</b>                           |
| Less: Interest capitalised                        | 1,005.81                     | 1,059.79                                  |
|                                                   | <b>5,116.88</b>              | <b>4,238.35</b>                           |

- (i) During the year ended March 31, 2026, interest expense includes interest on income tax of ₹26.10 crore (2024-25: Nil).

### 29. Depreciation and amortisation expense

[Item No. IV(f), Page 25]

|                                               | Year ended<br>March 31, 2026 | (₹ crore)<br>Year ended<br>March 31, 2025 |
|-----------------------------------------------|------------------------------|-------------------------------------------|
| Depreciation on property, plant and equipment | 6,375.69                     | 5,620.97                                  |
| Depreciation on right-of-use assets           | 558.29                       | 504.74                                    |
| Amortisation of other intangible assets       | 134.70                       | 127.45                                    |
|                                               | <b>7,068.68</b>              | <b>6,253.16</b>                           |

### 30. Other expenses

[Item No. IV(g), Page 25]

|                                                        | Year ended<br>March 31, 2026 | (₹ crore)<br>Year ended<br>March 31, 2025 |
|--------------------------------------------------------|------------------------------|-------------------------------------------|
| (a) Consumption of stores and spares*                  | 6,062.13                     | 6,477.48                                  |
| (b) Repairs and maintenance                            | 5,134.66                     | 5,857.75                                  |
| (c) Relining expenses                                  | 178.32                       | 204.30                                    |
| (d) Power, fuel and industrial gases                   | 7,526.77                     | 7,111.41                                  |
| (e) Conversion charges                                 | 2,440.36                     | 2,409.93                                  |
| (f) Freight and handling charges                       | 7,739.66                     | 7,701.74                                  |
| (g) Rent and hire charges                              | 525.84                       | 462.45                                    |
| (h) Mining premium and royalties                       | 5,448.62                     | 5,137.08                                  |
| (i) Rates and taxes                                    | 3,098.86                     | 1,884.44                                  |
| (j) Insurance charges                                  | 210.42                       | 229.35                                    |
| (k) Commission                                         | 289.79                       | 338.78                                    |
| (l) Allowance for credit losses/provision for advances | 18.16                        | (5.40)                                    |
| (m) Others                                             | 8,480.71                     | 5,361.15                                  |
|                                                        | <b>47,154.30</b>             | <b>43,170.46</b>                          |

\*Net of capitalisation of ₹3,925.27 crore (2024-25: ₹5,910.24 crore)

- (i) Others include net foreign exchange gain ₹91.72 crore (2024-25: ₹470.06 crore) and reversal of provision for claims no longer required written back Nil (2024-25: ₹1,860.39 crore)

## NOTES

forming part of the standalone financial statements

### 30. Other expenses (Contd.)

[Item No. IV(g), Page 25]

- (ii) During the year ended March 31, 2026, the Company has recognised an amount of **₹9.01** crore (2024-25: ₹7.95 crore) towards payment to non-executive directors. The details are as below:

|                         | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
|-------------------------|------------------------------|------------------------------|
| (a) Short-term benefits | 8.60                         | 7.50                         |
| (b) Sitting fees        | 0.41                         | 0.45                         |
|                         | <b>9.01</b>                  | <b>7.95</b>                  |

- (iii) Details of auditors' remuneration and out-of-pocket expenses is as below:

|                                                                                         | Year ended<br>March 31, 2026 | Year ended <sup>(i)</sup><br>March 31, 2025 |
|-----------------------------------------------------------------------------------------|------------------------------|---------------------------------------------|
| (a) Auditors remuneration and out-of-pocket expenses                                    |                              |                                             |
| (i) Statutory audit fees <sup>(ii)</sup>                                                | 15.06                        | 15.02                                       |
| (ii) Tax audit fees                                                                     | 1.35                         | 1.35                                        |
| (iii) For other services*                                                               | 4.03                         | 2.75                                        |
| (iv) Out-of-pocket expenses                                                             | 0.55                         | 0.43                                        |
| (b) Cost audit fees [including out of pocket expenses <b>₹18,151</b> (2024-25: ₹2,611)] | 0.35                         | 0.47                                        |

<sup>(i)</sup> Includes fees of/for merged entities excluding Angul Energy Limited for the year ended March 31, 2025.

<sup>(ii)</sup> Includes quarterly audit/review fees **₹5.60** crore (2024-25: ₹5.55 crore).

\*Includes **Nil** (2024-25: ₹0.47 crore) towards audit of accounts and tax audit (after giving impact of merger of subsidiaries) for the purpose of preparation of modified return of income and filing with Income Tax Authorities.

- (iv) As per the Companies Act, 2013, amount required to be spent by the Company on Corporate Social Responsibility (CSR) activities during the year was **₹412.92** crore (2024-25: ₹580.09 crore).

During the year ended March 31, 2026 amount approved by the Board to be spent on CSR activities was **₹473.40** crore (2024-25: ₹613.40 crore) and the amount approved by the Board of the merged entities was **Nil** (2024-25: ₹1.78 crore).

During the year ended March 31, 2026, in respect of CSR activities revenue expenditure incurred by the company amounted to **₹473.09** crore (**₹472.85** crore has been paid in cash and **₹0.24** crore is yet to be paid). The amount spent relates to purpose other than construction or acquisition of any asset and out of the above, **₹166.90** crore was spent on ongoing projects during the year. There was no amount unspent for the year ended March 31, 2026 and the Company does not propose to carry forward any amount spent beyond the statutory requirement.

During the year ended March 31, 2025, revenue expenditure incurred by the Company amounted to ₹584.61 crore (₹584.20 crore has been paid in cash and ₹0.41 crore is yet to be paid), which included ₹222.66 crore spent on ongoing projects. There was no amount unspent for the year ended March 31, 2025.

During the year ended March 31, 2026, amount spent on CSR activities through related parties was **₹417.93** crore (2024-25: ₹526.15 crore).

- (v) During the year ended March 31, 2026, revenue expenditure charged to the statement of profit and loss in respect of research and development activities undertaken was **₹585.97** crore (2024-25: ₹328.11 crore) including depreciation of **₹7.48** crore (2024-25: ₹9.73 crore). Capital expenditure incurred in respect of research and development activities during the year was **₹158.90** crore (2024-25: ₹20.64 crore).

## NOTES

forming part of the standalone financial statements

### 31. Exceptional items

[Item No. VI, Page 25]

Exceptional items are those which are considered for separate disclosure in the financial statements considering their size, nature or incidence. Such items included the statement of profit and loss are as below:

- (a) Provision for impairment and non-recoverability of non-current assets/investments/loans and advances/other financial assets **₹948.40** crore (2024-25: ₹74.91 crore) relates to provisions recognised for capital work-in-progress, other financial assets, investments in preference shares and loans given to subsidiaries.
- (b) Profit/loss on sale of investments/business undertakings/non-current assets relate to profit on sale of business undertaking **₹322.08** crore (2024-25: Nil) (refer note 45, page F123).
- (c) Restructuring, redundancy and other provisions **₹425.68** crore (2024-25: ₹670.78 crore) relate to provision recognised in respect of amounts payable for employee separation schemes and reimbursement of payments payable to a subsidiary.
- (d) Statutory impact of new labour codes **₹72.53** crore (2024-25: Nil) (refer note 41, page F122).
- (e) During the year ended March 31, 2025, contribution made to progressive electoral trust was ₹173.11 crore.
- (f) Gain/(loss) on non-current investments classified as fair value through profit and loss (net) **₹25.67** crore (2024-25: ₹16.76 crore) represents fair value changes of investments in preference shares held by the Company.

### 32. Earnings per share

[Item No. XII, Page 25]

The following table reflects the profit/(loss) and shares data used in the computation of basic and diluted earnings per share (EPS).

|                                                                                          | (₹ crore)                    |                              |
|------------------------------------------------------------------------------------------|------------------------------|------------------------------|
|                                                                                          | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| (a) Profit after tax                                                                     | 16,065.13                    | 13,969.70                    |
| Profit attributable to the ordinary shareholders - for basic and diluted EPS             | <b>16,065.13</b>             | <b>13,969.70</b>             |
|                                                                                          | Nos.                         | Nos.                         |
| (b) Weighted average number of ordinary shares for basic EPS                             | <b>12,48,35,31,541</b>       | <b>12,48,35,31,541</b>       |
| Add: Adjustment for shares held in abeyance                                              | 36,33,051                    | 35,17,726                    |
| Weighted average number of ordinary shares and potential ordinary shares for diluted EPS | <b>12,48,71,64,592</b>       | <b>12,48,70,49,267</b>       |
| (c) Nominal value of ordinary shares (₹)                                                 | 1.00                         | 1.00                         |
| (d) Basic earnings per ordinary share (₹)                                                | 12.87                        | 11.19                        |
| (e) Diluted earnings per ordinary share (₹)                                              | 12.87                        | 11.19                        |

## NOTES

forming part of the standalone financial statements

### 33. Employee benefits

#### A. Defined contribution plans

The Company participates in a number of defined contribution plans on behalf of relevant personnel. Any expense recognised in relation to these schemes represents the value of contributions payable during the period by the Company at rates specified by the rules of those plans. The only amounts included in the balance sheet are those relating to the prior months contributions that were not due to be paid until after the end of the reporting period.

The major defined contribution plans operated by the Company are as below:

##### (a) Provident fund and pension

The Company provides provident fund benefits for eligible employees as per applicable regulations wherein both employees and the Company make monthly contributions at a specified percentage of the eligible employee's salary. Contributions under such schemes are made either to a provident fund set up as an irrevocable trust by the Company to manage the investments and distribute the amounts entitled to employees or to state managed funds.

Benefits provided under plans wherein contributions are made to state managed funds and the Company does not have a future obligation to make good short fall if any, are treated as a defined contribution plan.

##### (b) Superannuation fund

The Company has a superannuation plan for the benefit of its employees. Employees who are members of the superannuation plan are entitled to benefits depending on the years of service and salary drawn.

Separate irrevocable trusts are maintained for employees covered and entitled to benefits. The Company contributes up to 15% of the eligible employees' salary or ₹1,50,000, whichever is lower, to the trust every year. Such contributions are recognised as an expense as and when incurred. The Company does not have any further obligation beyond this contribution.

The contributions recognised as an expense in the statement of profit and loss during the year on account of the above defined contribution plans amounted to **₹216.50** crore (2024-25: ₹237.01 crore).

#### B. Defined benefit plans

The defined benefit plans operated by the Company are as below:

##### (a) Provident fund and pension

Provident fund benefits provided under plans wherein contributions are made to an irrevocable trust set up by the Company to manage the investments and distribute the amounts entitled to employees are treated as a defined benefit plan as the Company is obligated to provide the members a rate of return which should, at the minimum, meet the interest rate declared by Government administered provident fund as per the Employees' Provident Funds and Miscellaneous Provisions Act, 1952. A part of the Company's contribution is transferred to Government administered pension fund. The contributions made by the Company and the shortfall of interest, if any, are recognised as an expense in statement of profit and loss.

In accordance with an actuarial valuation of provident fund liabilities based on guidance issued by Actuarial Society of India and based on the assumptions as mentioned below, there is deficiency of **₹24.42** crore (March 31, 2025: ₹24.42 crore) in the interest cost in respect of the entities merged with the Company in earlier periods, as the present value of the expected future earnings of the fund is lesser than the expected amount to be credited to the individual members based on the expected guaranteed rate of interest of Government administered provident fund.

## NOTES

forming part of the standalone financial statements

### 33. Employee benefits (Contd.)

Key assumptions used for actuarial valuation are as below:

|                                       | (₹ crore)                    |                              |
|---------------------------------------|------------------------------|------------------------------|
|                                       | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| Discount rate                         | 7.00%                        | 6.60%                        |
| Guaranteed rate of return             | 8.25%                        | 8.25%                        |
| Expected Rate of return on investment | 7.25% to 8.30%               | 7.25% to 8.15%               |

#### (b) Retiring gratuity

The Company has an obligation towards gratuity, a defined benefit retirement plan covering eligible employees as per the Payment of Gratuity Act, 1972. The plan provides for a lump-sum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 to 30 days wage payable for each completed year of service. Vesting occurs upon completion of five years of service for permanent employees and one year of service for fixed term employees. The Company makes annual contributions to gratuity funds established as trusts or insurance companies. The Company accounts for the liability for gratuity benefits payable in the future based on a year-end actuarial valuation.

#### (c) Post-retirement medical benefits

Under this unfunded scheme, employees of the Company receive medical benefits subject to certain limits on amounts of benefits, periods after retirement and types of benefits, depending on their grade and location at the time of retirement. Employees separated from the Company under an early separation scheme, on medical grounds or due to permanent disablement are also covered under the scheme. The Company accounts for the liability for post-retirement medical scheme based on a year-end actuarial valuation.

#### (d) Other defined benefits

Other benefits provided under unfunded schemes include post-retirement lumpsum benefits, pension payable to directors of the Company on their retirement, farewell gifts and reimbursement of packing and transportation charges to the employees based on their last drawn salary.

The defined benefit plans expose the Company to a number of actuarial risks as below:

- Investment risk:** The present value of the defined benefit plan liability is calculated using a discount rate determined by reference to government bond yields. If the return on plan asset is below this rate, it will create a plan deficit.
- Interest risk:** A decrease in the bond interest rate will increase the plan liability. However, this will be partially offset by an increase in the value of plan's debt investments.
- Salary risk:** The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in salary of the plan participants will increase the plan's liability.
- Longevity risk:** The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

## NOTES

forming part of the standalone financial statements

### 33. Employee benefits (Contd.)

#### C. Details of defined benefit obligations and plan assets:

##### (a) Retiring gratuity:

(i) The following table sets out the amounts recognised in the financial statements in respect of retiring gratuity plan:

|                                               | (₹ crore)                    |                              |
|-----------------------------------------------|------------------------------|------------------------------|
|                                               | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| <b>Change in defined benefit obligations:</b> |                              |                              |
| Obligation at the beginning of the year       | 3,526.25                     | 3,395.52                     |
| Disposal of business undertaking              | (2.52)                       | -                            |
| Current service cost                          | 225.47                       | 189.49                       |
| Past service cost                             | 71.95                        | -                            |
| Interest expense                              | 209.13                       | 211.79                       |
| Remeasurement (gain)/loss                     | (577.23)                     | 181.62                       |
| Benefits paid                                 | (381.13)                     | (452.17)                     |
| <b>Obligations at the end of the year</b>     | <b>3,071.92</b>              | <b>3,526.25</b>              |

|                                                                                         | (₹ crore)                    |                              |
|-----------------------------------------------------------------------------------------|------------------------------|------------------------------|
|                                                                                         | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| <b>Change in plan assets:</b>                                                           |                              |                              |
| Fair value of plan assets at the beginning of the year                                  | 3,170.60                     | 2,954.27                     |
| Disposal of business undertaking                                                        | (2.59)                       | -                            |
| Interest income                                                                         | 202.96                       | 204.89                       |
| Remeasurement gain/(loss) excluding the amount included within employee benefit expense | (47.40)                      | 66.22                        |
| Employers' contribution                                                                 | 200.00                       | 397.39                       |
| Benefits paid                                                                           | (381.13)                     | (452.17)                     |
| <b>Fair value of the plan assets at the end of the year</b>                             | <b>3,142.44</b>              | <b>3,170.60</b>              |

Amounts recognised in the balance sheet consist of:

|                                              | (₹ crore)               |                         |
|----------------------------------------------|-------------------------|-------------------------|
|                                              | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
| Fair value of plan assets                    | 3,142.44                | 3,170.60                |
| Present Value of obligation                  | (3,071.92)              | (3,526.25)              |
|                                              | <b>70.52</b>            | <b>(355.65)</b>         |
| <b>Recognised as:</b>                        |                         |                         |
| Retirement benefit assets - Non-current      | 70.52                   | -                       |
| Retirement benefit obligations - Non-current | -                       | (355.65)                |



## NOTES

forming part of the standalone financial statements

### 33. Employee benefits (Contd.)

Expense/(gain) recognised in the statement of profit and loss consists of:

|                                                                               | Year ended<br>March 31, 2026 | (₹ crore)<br>Year ended<br>March 31, 2025 |
|-------------------------------------------------------------------------------|------------------------------|-------------------------------------------|
| <b>Employee benefits expense:</b>                                             |                              |                                           |
| Current service cost                                                          | 225.47                       | 189.49                                    |
| Net interest expense                                                          | 6.17                         | 6.90                                      |
|                                                                               | <b>231.64</b>                | <b>196.39</b>                             |
| <b>Exceptional Items:</b>                                                     |                              |                                           |
| Past service cost                                                             | <b>71.95</b>                 | -                                         |
| <b>Other comprehensive income:</b>                                            |                              |                                           |
| Return on plan assets excluding amounts included in employee benefits expense | 47.40                        | (66.22)                                   |
| Actuarial (gain)/loss arising from changes in demographic assumption          | -                            | 0.20                                      |
| Actuarial (gain)/loss arising from changes in financial assumption            | (496.61)                     | 114.00                                    |
| Actuarial (gain)/loss arising from changes in experience adjustments          | (80.62)                      | 67.42                                     |
|                                                                               | <b>(529.83)</b>              | <b>115.40</b>                             |
| <b>Expense/(gain) recognised in the statement of profit and loss</b>          | <b>(226.24)</b>              | <b>311.79</b>                             |

(ii) Fair value of plan assets by category of investment is as below:

|                               | As at<br>March 31, 2026 | (₹ crore)<br>As at<br>March 31, 2025 |
|-------------------------------|-------------------------|--------------------------------------|
| <b>Asset category (%)</b>     |                         |                                      |
| Equity instruments (quoted)   | 6.22%                   | 5.43%                                |
| Debt instruments (quoted)     | 58.91%                  | 52.00%                               |
| Insurance products (unquoted) | 30.96%                  | 37.79%                               |
| Others                        | 3.91%                   | 4.78%                                |
|                               | <b>100.00%</b>          | <b>100.00%</b>                       |

The Company's investment policy is driven by considerations of maximising returns while ensuring credit quality of debt instruments. The asset allocation for plan assets is determined based on prescribed investment criteria and is also subject to other exposure limitations. The Company evaluates the risks, transaction costs and liquidity for potential investments. To measure plan assets performance, the Company compares actual returns for each asset category with published benchmarks.

(iii) Key assumptions used in the measurement of retiring gratuity is as below:

|                                  | As at<br>March 31, 2026 | (₹ crore)<br>As at<br>March 31, 2025 |
|----------------------------------|-------------------------|--------------------------------------|
| Discount rate                    | 7.00%                   | 6.60%                                |
| Rate of escalation in the salary | 6.00% to 8.00%          | 7.00% to 10.50%                      |

(iv) Weighted average duration of the retiring gratuity obligation is **7.7** years (March 31, 2025: 8.6 years).

(v) There will be no contribution to the plan during the financial year 2026-27.

(vi) The table below outlines the effect on retiring gratuity obligation in the event of a decrease/increase of 1% in the assumptions used.

## NOTES

forming part of the standalone financial statements

### 33. Employee benefits (Contd.)

#### As at March 31, 2026

| Assumption                   | Change in assumption           | Impact on obligation                                 |
|------------------------------|--------------------------------|------------------------------------------------------|
| Discount rate                | Increase by 1%, decrease by 1% | Decrease by ₹212.28 crore, increase by ₹246.40 crore |
| Rate of escalation in salary | Increase by 1%, decrease by 1% | Increase by ₹234.85 crore, decrease by ₹206.22 crore |

#### As at March 31, 2025

| Assumption                   | Change in assumption           | Impact on obligation                                 |
|------------------------------|--------------------------------|------------------------------------------------------|
| Discount rate                | Increase by 1%, decrease by 1% | Decrease by ₹271.75 crore, increase by ₹318.29 crore |
| Rate of escalation in salary | Increase by 1%, decrease by 1% | Increase by ₹309.63 crore, decrease by ₹269.62 crore |

The above sensitivities may not be representative of the actual change as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

#### (b) Post-retirement medical benefits and other defined benefits:

- (i) The following table sets out the amounts recognised in the financial statements in respect of post-retirement medical benefits and other defined benefit plans.

|                                                                               | Year ended March 31, 2026 |               | Year ended March 31, 2025 |               |
|-------------------------------------------------------------------------------|---------------------------|---------------|---------------------------|---------------|
|                                                                               | Medical                   | Others        | Medical                   | Others        |
|                                                                               |                           |               |                           |               |
| Obligation at the beginning of the year                                       | 1,842.47                  | 350.49        | 1,715.79                  | 335.92        |
| Current service cost                                                          | 46.81                     | 30.40         | 45.63                     | 48.56         |
| Interest expense                                                              | 118.58                    | 21.11         | 117.29                    | 21.28         |
| Remeasurement (gain)/loss                                                     |                           |               |                           |               |
| (i) Actuarial (gains)/losses arising from changes in demographic assumptions  | -                         | -             | 0.43                      | -             |
| (ii) Actuarial (gains)/losses arising from changes in financial assumptions   | (142.33)                  | (9.28)        | 120.45                    | 9.02          |
| (iii) Actuarial (gains)/losses arising from changes in experience adjustments | 363.25                    | (9.53)        | (74.96)                   | (1.42)        |
| Benefits paid                                                                 | (91.58)                   | (60.11)       | (82.16)                   | (63.88)       |
| Past service cost                                                             | -                         | (0.37)        | -                         | 1.01          |
| <b>Obligation at the end of the year</b>                                      | <b>2,137.20</b>           | <b>322.71</b> | <b>1,842.47</b>           | <b>350.49</b> |

#### Amounts recognised in the balance sheet consist of:

|                                              | Year ended March 31, 2026 |        | Year ended March 31, 2025 |        |
|----------------------------------------------|---------------------------|--------|---------------------------|--------|
|                                              | Medical                   | Others | Medical                   | Others |
|                                              |                           |        |                           |        |
| Present Value of obligation                  | 2,137.20                  | 322.71 | 1,842.47                  | 350.49 |
| Recognised as:                               |                           |        |                           |        |
| Retirement benefit obligations - Current     | 107.42                    | 25.51  | 96.34                     | 26.54  |
| Retirement benefit obligations - Non-current | 2,029.78                  | 297.20 | 1,746.13                  | 323.95 |

## NOTES

forming part of the standalone financial statements

### 33. Employee benefits (Contd.)

Expense/(gain) recognised in the statement of profit and loss consists of:

(₹ crore)

|                                                                          | Year ended March 31, 2026 |                | Year ended March 31, 2025 |              |
|--------------------------------------------------------------------------|---------------------------|----------------|---------------------------|--------------|
|                                                                          | Medical                   | Others         | Medical                   | Others       |
| <b>Employee benefit expenses:</b>                                        |                           |                |                           |              |
| Current service cost                                                     | 46.81                     | 30.40          | 45.63                     | 48.56        |
| Past service cost                                                        | -                         | (0.37)         | -                         | 1.01         |
| Interest expense                                                         | 118.58                    | 21.11          | 117.29                    | 21.28        |
|                                                                          | <b>165.39</b>             | <b>51.14</b>   | <b>162.92</b>             | <b>70.85</b> |
| <b>Other comprehensive income:</b>                                       |                           |                |                           |              |
| Actuarial (gains)/losses arising from changes in demographic assumptions | -                         | -              | 0.43                      | -            |
| Actuarial (gains)/losses arising from changes in financial assumptions   | (142.33)                  | (9.28)         | 120.45                    | 9.02         |
| Actuarial (gains)/losses arising from changes in experience adjustments  | 363.25                    | (9.53)         | (74.96)                   | (1.42)       |
|                                                                          | <b>220.92</b>             | <b>(18.81)</b> | <b>45.92</b>              | <b>7.60</b>  |
| <b>Expense recognised in the statement of profit and loss</b>            | <b>386.31</b>             | <b>32.33</b>   | <b>208.84</b>             | <b>78.45</b> |

(ii) Key assumptions used in the measurement of post-retirement medical benefits and other defined benefit plans is as below:

(₹ crore)

|                              | As at March 31, 2026 |        | As at March 31, 2025 |        |
|------------------------------|----------------------|--------|----------------------|--------|
|                              | Medical              | Others | Medical              | Others |
| Discount rate                | 7.00%                | 7.00%  | 6.60%                | 6.60%  |
| Rate of escalation in salary | NA                   | 12.00% | NA                   | 12.00% |
| Inflation rate               | 8.00%                | 5.00%  | 8.00%                | 5.00%  |

(iii) Weighted average duration of post-retirement medical benefit obligation is **9** years (March 31, 2025: 9 years). Weighted average duration of other defined benefit obligation ranges from **2.4** to **11** years (March 31, 2025: 2.5 to 12 years).

## NOTES

forming part of the standalone financial statements

### 33. Employee benefits (Contd.)

- (iv) The table below outlines the effect on post-retirement medical benefit obligation in the event of a decrease/increase of 1% in the assumptions used:

#### As at March 31, 2026

| Assumption                  | Change in assumption           | Impact on obligation                                 |
|-----------------------------|--------------------------------|------------------------------------------------------|
| Discount rate               | Increase by 1%, decrease by 1% | Decrease by ₹297.76 crore, increase by ₹386.87 crore |
| Medical cost inflation rate | Increase by 1%, decrease by 1% | Increase by ₹361.86 crore, decrease by ₹284.81 crore |

#### As at March 31, 2025

| Assumption                  | Change in assumption           | Impact on obligation                                 |
|-----------------------------|--------------------------------|------------------------------------------------------|
| Discount rate               | Increase by 1%, decrease by 1% | Decrease by ₹261.65 crore, increase by ₹342.82 crore |
| Medical cost inflation rate | Increase by 1%, decrease by 1% | Increase by ₹319.09 crore, decrease by ₹249.32 crore |

- (v) The table below outlines the effect on other defined benefit obligation in the event of a decrease/increase of 1 % in the assumptions used.

#### As at March 31, 2026

| Assumption                   | Change in assumption           | Impact on obligation                               |
|------------------------------|--------------------------------|----------------------------------------------------|
| Discount rate                | Increase by 1%, decrease by 1% | Decrease by ₹19.45 crore, increase by ₹22.67 crore |
| Rate of escalation in salary | Increase by 1%, decrease by 1% | Increase by ₹3.22 crore, decrease by ₹3.09 crore   |
| Inflation rate               | Increase by 1%, decrease by 1% | Increase by ₹9.50 crore, decrease by ₹8.26 crore   |

#### As at March 31, 2025

| Assumption                   | Change in assumption           | Impact on obligation                               |
|------------------------------|--------------------------------|----------------------------------------------------|
| Discount rate                | Increase by 1%, decrease by 1% | Decrease by ₹21.55 crore, increase by ₹25.23 crore |
| Rate of escalation in salary | Increase by 1%, decrease by 1% | Increase by ₹3.76 crore, decrease by ₹3.57 crore   |
| Inflation rate               | Increase by 1%, decrease by 1% | Increase by ₹14.32 crore, decrease by ₹12.49 crore |

The above sensitivities may not be representative of the actual change as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

## NOTES

forming part of the standalone financial statements

### 34. Contingencies and commitments

#### A. Contingencies

In the ordinary course of business, the Company faces claims and assertions by various parties. The Company assesses such claims and assertions and monitors the legal environment on an on-going basis with the assistance of external legal counsel, wherever necessary. The Company records a liability for any claims where a potential loss is probable and capable of being estimated and discloses such matters in its financial statements, if material. For potential losses that are considered possible, but not probable, the Company provides disclosure in the financial statements but does not record a liability in its financial statements unless the loss becomes probable.

The following is a description of claims and assertions where a potential loss is possible, but not probable. The Company believes that none of the contingencies described below would have a material adverse effect on the Company's financial condition, results of operations or cash flows.

It is not practicable for the Company to estimate the timings of the cash outflows, if any, pending resolution of the respective proceedings. The Company does not expect any reimbursements in respect of the same.

#### Litigations

The Company is involved in legal proceedings as defendant. There are claims which the Company does not believe to be of a material nature, other than those described below:

#### Income tax

The Company has ongoing disputes with income tax authorities relating to tax treatment of certain items. These mainly include disallowance of expenses and tax treatment of certain expenses claimed by the Company as deduction.

Most of these disputes and/or disallowances, being repetitive in nature, have been raised by the income tax authorities consistently in most of the years.

As at March 31, 2026, there are matters and/or disputes pending in appeal amounting to **₹3,982.47** crore (March 31, 2025: ₹4,093.71 crore).

The details of significant demands are as below:

- interest expenditure on loans taken by the Company for acquisition of a subsidiary has been disallowed in assessments with tax demand raised for **₹1,459.55** crore (inclusive of interest) (March 31, 2025: ₹1,521.87 crore).
- interest expenditure on "Hybrid Perpetual Securities" has been disallowed in assessments with tax demand raised for **₹394.89** crore (inclusive of interest) (March 31, 2025: ₹379.69 crore).
- the Company, through its wholly owned subsidiary Bamnipal Steel Limited, acquired erstwhile Bhushan Steel Limited (subsequently renamed as Tata Steel BSL Limited (TSBSL), now merged with the Company) through the resolution process of the Insolvency and Bankruptcy Code, 2016. Following this acquisition, a debt of ₹25,185.51 crore was waived in favour of erstwhile TSBSL by Bamnipal Steel Limited. The waiver of loan has been deemed as taxable in the hands of TSBSL under a reassessment order for FY 2018-19. In the same reassessment order, the Company has received a tax demand of **₹594.80** crore (March 31, 2025: ₹594.80 crore) on account of withdrawal of earlier refund granted. The Company has filed writ petition before the Hon'ble High Court of Bombay challenging the reassessment. Matter was heard and decided in favour of the Company vide order dated August 12, 2025.

Finance Act 2025 has, however, made a retrospective amendment pertaining to the ground based on which the Company had received a favourable order. Basis the amendment, the matter may be revived and would then again be argued before the High Court on other grounds challenging the validity of the proceedings.

In respect of above demands, the Company has deposited an amount of **₹1,372.62** crore (March 31, 2025: ₹1,343.80 crore) as a precondition for obtaining stay. The Company expects to sustain its position on ultimate resolution of the said appeals.

#### Customs, excise duty, service tax and goods and service tax

As at March 31, 2026, there were pending litigations for various matters relating to customs, excise duty, service tax and GST involving demands of **₹535.17** crore (March 31, 2025: ₹667.27 crore).

## NOTES

forming part of the standalone financial statements

### 34. Contingencies and commitments (Contd.)

The detail of significant demand is as below:

The Company is providing municipal services in the town of Jamshedpur as per the Lease deed dated August 20, 2005. In this regard, the Company has entered into various agreements with Tata Steel Utilities and Infrastructure Services Limited ('TSUISL'), whereby TSUISL provides services to the Company, and the Company in turn provides such services to the residents. TSUISL charges GST on the invoices raised and the Company takes Input Tax Credit (ITC) of the same in terms of the GST Laws.

Further, the Company maintains Tata Main Hospital (TMH) in the town of Jamshedpur, wherein health care services are provided to employees as well as non-employees. The Company has taken ITC of GST paid on various services received which is attributable to employees.

Both the above ITC were disputed by the department and show cause notices (SCN) were issued. The demand in the said SCN has been confirmed vide order in original dated June 23, 2023. Against the said Order, the Company preferred an appeal before the Commissioner (Appeals) Ranchi which was disposed in the favor of the company vide order dated May 22, 2025.

The amount involved as at March 31, 2026 amounts to **Nil** (March 31, 2025: ₹154.54 crore).

#### Sales tax/VAT

As at March 31, 2026, sales tax demands that are being contested by the Company amount to **₹313.33** crore (March 31, 2025: ₹300.78 crore).

#### Other taxes, dues and claims

- (a) Orissa Rural Infrastructure and Socio-Economic Development Act, (ORISED)

The State of Odisha enacted the "Orissa Rural Infrastructure and Socio-Economic Development Act, 2004 (ORISED Act)" with effect from February 01, 2005, levying tax on mineral bearing land.

The Company during FY06 received various demands amounting to ₹129.00 crore pertaining to the period FY05 and FY06 in respect of its mines in the State of Odisha. The Company had filed a writ petition in the Hon'ble High Court of Orissa challenging the constitutional validity of the Act on the ground that the State of Odisha lacks the

legislative authority to enact ORISED Act, 2004 and therefore the same is unconstitutional. The Hon'ble High Court of Orissa in December 2005 held that the State does not have the legislative authority to levy tax on minerals. The State of Odisha had challenged the Judgment of the Hon'ble High Court before the Hon'ble Supreme Court. Subsequently, the matter relating to legislative authority of the States to tax minerals, was referred to the Constitution Bench of the Hon'ble Supreme Court.

The Judgement of the Constitution Bench of the Hon'ble Supreme Court was pronounced on July 25, 2024. The Hon'ble Supreme Court ruled that the Mines and Minerals (Development & Regulation) Act will not denude the States of the power to levy tax on mineral rights. The Constitution Bench further directed the listing of the pending matters before an appropriate Regular Bench of the Hon'ble Supreme Court. This was followed by an Order dated August 14, 2024 of the Constitution Bench of the Hon'ble Supreme Court, directing/clarifying certain matters in respect of its Judgement dated July 25, 2024.

Notwithstanding the recent Judgement dated July 25, 2024 and August 14, 2024 of the Constitution Bench of the Hon'ble Supreme Court laying down the principle of law, pending hearing of the Appeal filed by the State of Odisha before the appropriate Regular Bench of the Hon'ble Supreme Court against the Judgement and Order of the Hon'ble High Court of Orissa which had declared the ORISED Act, 2004 to be unconstitutional and inoperative, it is unclear/uncertain as regards the form and manner in which the ORISED Act, 2004 may get enacted once the decision of the Hon'ble High Court of Orissa is set aside by the Hon'ble Supreme Court, which currently is pending.

The Company has filed a curative petition before the Hon'ble Supreme Court of India on January 17, 2025, invoking extraordinary jurisdiction of the Hon'ble Supreme Court of India under Article 142 of the Constitution of India read with order XLVIII, Rule 1 of the Supreme Court Rules, 2013 in respect of the order dated September 24, 2024 passed by the Constitutional Bench of the Hon'ble Supreme Court of India dismissing the review petition against judgment dated July 25, 2024 and August 14, 2024, which is pending.

## NOTES

forming part of the standalone financial statements

### 34. Contingencies and commitments (Contd.)

Accordingly, the Company would be able to assess the financial impact, if any, of the possible obligation only on the occurrence or non-occurrence of uncertain future events, related to the legal course, not entirely within the control of the Company, and the consequent actions of the Union and the State Government.

While the Company had previously reported and disclosed an estimated amount of contingent liability towards possible obligation under the aforesaid ORISED matter, as on date, based on the above uncertainty, along with an opinion from senior legal counsel obtained by the Company, there is no present/legal obligation in respect of the levy related to the ORISED Act, 2004 and its financial impact along with the possibility of outflow at this stage is unlikely.

The Company has, accordingly, not recognised any provision in its financial statements.

- (b) Other amounts for which the Company may contingently be liable aggregate to **₹5,773.38** crore (March 31, 2025: ₹5,152.02 crore).

The details of significant demands are as below:

- (i) the Company pays royalty on iron ore on the basis of quantity removed from the leased area at the rates based on notification issued by the Ministry of Mines, Government of India and the price published by Indian Bureau of Mines (IBM) on a monthly basis.

A demand of ₹411.08 crore was raised by the Deputy Director of Mines, Joda, claiming royalty at sized ore rates on dispatches of ore fines. The Company filed a revision petition before the Mines Tribunal, Government of India, Ministry of Mines, New Delhi, challenging the legality and validity of the demand raised and also to grant refund of excess royalty paid by the Company.

Mines tribunal vide its order dated November 13, 2014 stayed the demand of royalty on iron ore for Joda East mines of ₹314.28 crore upto the period ending March 31, 2014. For the demand of ₹96.80 crore for April 2014

to September 2014, a separate revision application was filed before the Mines Tribunal. The matter was heard by the Mines Tribunal and a stay was granted on the total demand with a directive to the Government of Odisha not to take any coercive action for realisation of demand.

Subsequently, the Hon'ble High Court of Orissa in a similar matter held the circulars based on which demands were raised to be valid. On the basis of this judgement the matter was challenged in the Supreme Court, which is pending to be listed for hearing.

In the meanwhile, on October 26, 2022, an assessment order (for the period April 2022 to September 2022) was served, confirming that royalty will be paid for Calibrated Lump Ore and Fines at their respective prices published by the IBM w.e.f. April 2022.

The matter is pending for hearing before the Mines Tribunal, New Delhi, subject to the final hearing in the Hon'ble Supreme Court.

Likely demand of royalty on fines at sized ore rates as on March 31, 2026 is **₹2,696.58** crore (March 31, 2025: ₹2,696.58 crore).

- (ii) The Hon'ble Supreme Court pronounced its judgement in the Common Cause case on August 2, 2017 wherein it directed that compensation equivalent to the price of mineral extracted in excess of environment clearance or without forest clearance from the forest land be paid.

In pursuance to the Judgement of the Hon'ble Supreme Court, demand/show cause notices were issued during 2017-18 by the Deputy Director of Mines, Odisha and the District Mining Office, Jharkhand.

In respect of the above demands outstanding as on March 31, 2026:

- › the Company has challenged demands amounting to ₹132.91 crore for production in excess of lower of mining plan and consent to operate limits raised by the Deputy Directors of Mines, Odisha before



## NOTES

forming part of the standalone financial statements

### 34. Contingencies and commitments (Contd.)

the Mines Tribunal and obtained a stay of the matter. Mines Tribunal, Delhi vide order dated November 26, 2018 sent back the matter to the State for fresh consideration.

On September 14, 2022, the Deputy Director of Mines, Government of Odisha issued a fresh demand amounting to ₹107.00 crore against the Company directing payment of compensation amount towards unlawful production in the mines in violation of mining plan/consent to operate. Revision Applications have also been filed against the same on November 3, 2022 with the Mines Tribunal. Thereafter, the Company filed writ petitions against the Order passed by the revisional authority in the case of Katamati Iron Ore mines & Manmora Iron Ore Mines on March 22, 2024.

The Revisional Authority passed orders dismissing the Revisional Applications filed by the Company for Katamati Iron Ore Mines and Manmora iron ore mines and set aside the orders passed by Deputy Director of Mines against the Company for other mining locations amounting to ₹62.09 crore. Subsequently, on September 01, 2025, the State has raised a demand for interest on delayed payment of these demands amounting to ₹59.40 crore. The Company has challenged these demands via revision applications filed before Mines Tribunal, Delhi on September 18, 2025 and notice has been issued to the State inviting its comments. Demand stayed on November 17, 2025.

The demand amount of **₹104.50** crore is considered contingent.

- › the Company based on its internal assessment had provided an amount of ₹1,412.89 crore against demand notices amounting to ₹2,140.30 crore received from the District Mining Office, Jharkhand for producing more than environment clearance and the balance amount of ₹727.41 crore was considered contingent.

Subsequently, based on a favourable judgement of the Revisionary Authority wherein the demands of the State were set aside and legal opinion obtained by the Company, it was considered appropriate to reverse the provision of ₹1,412.89 crore and also drop ₹727.41 crore from contingent liability.

Subsequently, the Hon'ble High court of Jharkhand in its order on similar matter related to other coal companies decided that the District Mining Officer do not have the authority to raise such demands.

Pursuant to the above order, the Government of Jharkhand has authorised its designated officials to deal on the above matters.

Thereafter, on February 2, 2026 and March 30, 2026 the Company has again received similar demands amounting to ₹2,140.30 crore in respect of its collieries in Jharia and West Bokaro in the State of Jharkhand.

Based on the earlier favourable judgement of the Revisionary Authority and external legal opinion obtained by Company, the said demand of **₹2,140.30** crore is considered contingent.

- (iii) As per the Mine Development & Production Agreement (MDPA) signed by erstwhile Tata Steel Mining limited (TSML) (now merged with the Company) with the State Government, Sukinda Chromite Mine of TSML is required to dispatch annually 80 percent of the average annual production of the last two years before the mine was put into auction. In view of the low volume of open cast minable reserves and inoperable conditions in the mine, TSML approached the State Government for revision of MDPA targets. During discussions with the State, TSML had obtained approval for modified mining plan of six lakh tonnes on July 22, 2022 from the Indian Bureau of Mines (IBM) for the period FY2023 till FY2025 basis which the operational plan of TSML was revised accordingly.



## NOTES

forming part of the standalone financial statements

### 34. Contingencies and commitments (Contd.)

On March 13, 2024 the Company received a letter from IBM stating that the modification plan approved vide IBM letter dated July 22, 2022 is no more relevant and is withdrawn. In response to the aforesaid letter, the Company has submitted the Mine Closure plan on March 29, 2024 which was approved on October 08, 2024.

The Company has received various demand letters from the Deputy Director of Mines, Jajpur amounting to ₹4,314 crore on different dates for shortfall in despatch for the period July 23, 2023 to July 22, 2025 which has been challenged by the Company in the Hon'ble High Court of Orissa.

Subsequently, in a judgement dated April 20, 2026, the Court had quashed the demand notices and directed the State to take fresh steps based on the legal conclusions provided in the judgement.

Accordingly, based on the above and external legal opinion obtained by the Company, the demand amount of ₹4,314.00 crore (March 31, 2025: ₹1,563.76 crore) is not considered as contingent.

#### B. Commitments

- (a) The Company has entered into various contracts with suppliers and contractors for the acquisition of plant and machinery, equipment and various civil contracts of capital nature amounting to **₹19,958.06** crore (March 31, 2025: ₹18,048.64 crore).

Other commitments as at March 31, 2026 amount to **₹0.01** crore (March 31, 2025: ₹0.01 crore).

- (b) The Company has given undertakings to:
- (i) IDBI not to dispose of its investment in Wellman Incandescent India Ltd.
  - (ii) IDBI and ICICI Bank Ltd. (formerly ICICI) not to dispose of its investment in Standard Chrome Ltd.

- (c) The Company has given guarantees aggregating **₹84.91** crore (March 31, 2025: ₹156.66 crore) details of which are as below:
- (i) in favour of Commissioner Customs for **₹1.07** crore (March 31, 2025: ₹1.07 crore) given on behalf of Timken India Limited in respect of goods imported.
  - (ii) in favour of The President of India for **₹82.59** crore (March 31, 2025: ₹82.59 crore) against performance of export obligation under the various bonds executed by a joint venture Jamshedpur Continuous Annealing & Processing Company Private Limited.
  - (iii) in favour of State Bank of India for **₹1.10** crore (March 31, 2025: ₹47.26 crore) guaranteeing the financial liability of a subsidiary, Tata Steel Utilities and Infrastructure Service Limited (TSUISL), for the purpose of availing banking facility for TSUISL's business operations including working capital and performance contract.
  - (iv) in favour of State Bank of India for **Nil** (March 31, 2025: ₹1.42 crore) guaranteeing the financial liability of a subsidiary, Tata Steel Downstream Products Limited (TSDPL) for the purpose of availing banking facility for TSDPL's business operations including working capital and performance contract.
  - (v) in favour of ICICI Bank for **Nil** (March 31, 2025: ₹24.17 crore) guaranteeing the financial liability of an associate TRF Limited (TRF), for the purpose of availing banking facility for TRF's business operations including working capital and performance contract.
  - (vi) in favour of President of India for **₹0.15** crore (March 31, 2025: ₹0.15 crore) against advance license.

## NOTES

forming part of the standalone financial statements

### 35. Other significant litigations

- (a) Odisha Legislative Assembly issued an amendment to Indian Stamp Act, 1899, on May 9, 2013 and inserted a new provision (Section 3A) in respect of stamp duty payable on grant/renewal of mining leases. As per the amended provision, stamp duty is levied equal to 15% of the average royalty that would accrue out of the highest annual extraction of minerals under the approved mining plan multiplied by the period of such mining lease.

The Company filed a writ petition challenging the constitutionality of the Act on July 5, 2013. The Hon'ble High Court, Cuttack passed an order on July 9, 2013 granting interim stay on the operation of the Amendment Act, 2013. Because of the stay, as on date, the Act is not enforceable and any demand received by the Company is not liable to be proceeded with. Meanwhile, the Company received demand notices for the various mines at Odisha totalling to **₹5,579.00** crore (March 31, 2025: ₹5,579.00 crore).

In April 2015, the Company had received an intimation from Government of Odisha, granting extension of validity period for leases under the MMDR Amendment Act, 2015 upto March 31, 2030 in respect of eight mines and upto March 31, 2020 for two mines subject to execution of supplementary lease deed. The Company had paid the stamp duty and registration charges as per the earlier provisions of the Stamp Act, 1899 totaling ₹413.72 crore for supplementary deed execution in respect of eight mines out of the above mines.

The Company subsequently received notices demanding differential stamp duty and registration fees from Deputy Director of Mines amounting to **₹69.16** crore in respect of Joda East iron ore mine and **₹86.07** crore in respect of Katamati iron ore Mine. These have also been challenged by the Company by filing Writ Petitions, for which hearing took place on multiple dates. Meanwhile, the Court has directed the Deputy Director of Mines not to take any coercive action against the Company.

On November 26, 2025, the Company has received demand notices regarding differential stamp duty and registration fees amounting to **₹5.30** crore, **₹4.57** crore, **₹13.58** crore and **₹94.98** crore in respect of Bamebari, Tiringpahar, Joda West and Khondbond Iron Ore & Manganese Mine. These were challenged by filing writ petition on December 1, 2025. The case was listed for hearing on December 8, 2025 and was rescheduled for hearing on February 10, 2026 which could not be taken up and the next date of hearing is not known.

Based on external legal opinion obtained by the Company, the Company is of the view that it is remote that the claim will sustain on ultimate resolution of the legal case by the court.

- (b) Noamundi iron ore mine of the Company was due for its third renewal with effect from January 1, 2012. The application for renewal was submitted by the Company within the stipulated time, but it remained pending consideration with the State and the mining operations were continued in accordance with the prevailing law.

By a judgement of April 2014 in the case of Goa Mines, the Supreme Court took a view that second and subsequent renewal of mining lease can be effected once the State considers the application and decides to renew the mining lease by issuing an express order. State of Jharkhand issued renewal order to the Company on December 31, 2014. The State, however, took a view on interpretation of Goa Mines judgement that the mining carried out after expiry of the period of second renewal was 'illegal' and hence, issued a demand notice of **₹3,568.31** crore being the price of iron ore extracted. The said demand was challenged by the Company before the Jharkhand High Court.

The writ petition filed by the company before the Hon'ble High Court of Jharkhand was heard and an interim order was given wherein the Court directed the Company to pay an amount of ₹371.83 crore in 3 equal instalments, first instalment by October 15, 2015, second instalment by November 15, 2015 and third instalment by December 15, 2015.

## NOTES

forming part of the standalone financial statements

### 35. Other significant litigations (Contd.)

In view of the interim order of the Hon'ble High Court of Jharkhand, ₹124.00 crore was paid on September 28, 2015, ₹124.00 crore on November 12, 2015 and ₹123.83 crore on December 14, 2015 under protest.

The case is pending before the Hon'ble High court for disposal. The State issued similar terms and conditions to other mining lessees in the State rendering the mining as illegal.

Based on the Company's assessment of the Goa mines judgement read with the Ordinance issued in the year 2015, and external legal opinion obtained, the Company believes that it is remote that the demand of the State would sustain.

- (c) The Supreme Court of India vide its order dated September 24, 2014, cancelled the coal blocks allocated to various entities which included one coal block allocated to the Tata Steel BSL Limited ("TSBSL", entity merged with the Company in an earlier year). Subsequently, the Government of India issued the Coal Mines (Special Provision) Act, 2015, which inter alia deals with the payment of compensation to affected parties for investment in coal blocks.

The Company filed its claim for compensation with the Government of India, Ministry of Coal ('MoC'). The MoC informed that all statutory license, consent approvals, permission required for undertaking of coal mining operations in New Patrapara Coal Mine now vested with Singareni Collieries Company Ltd. ("SCCL", a state Government Undertaking) to whom the mine was subsequently allotted.

The MoC/Union of India filed a supplementary affidavit dated February 11, 2020 before the Delhi High Court vide which it informed that payment of compensation can be made to the prior allottee after the mine is successfully allotted and compensation is deposited by the successful allottee, following the sequence mentioned in section 9 of Coal Mine (Special Provisions) Act, 2015. The MoC vide order dated May 17, 2021 directed SCCL to pay compensation to erstwhile TSBSL.

Subsequently, the Union of India filed an affidavit dated March 6, 2023 before the High Court vide which it informed that the successful allottee i.e., M/s SCCL had surrendered

the New Patrapara Coal Block. The Hon'ble High Court directed the MoC and Odisha Industrial Infrastructure Development Corporation (IDCO) to file updated status report outlining the amount payable to the prior allottee and indicate the date by which amount could be disbursed.

On July 5, 2023, the Delhi High Court directed the State of Odisha and IDCO to release the available balance of ₹105.33 crore within four weeks and directed the Union of India to file a detailed affidavit clearly stating as to what steps are being taken to ensure that the coal block is successfully allocated within a reasonable period of time. Government of Odisha along with IDCO released ₹105.33 crore on August 8, 2023. Further, an amount of ₹0.32 crore was released by IDCO on August 10, 2023 towards compensation pertaining to cost for geological reports.

Subsequently, the MoC vide its letter dated April 15, 2024, informed that the earlier order dated May 15, 2021 wherein compensation payable to the prior allottee was fixed, stands withdrawn and that the compensation needs to be redetermined.

On November 26, 2024, NLC India Ltd. was declared as the successful allottee of the coal block i.e., New Patrapara South Coal Block, which is a part of the larger New Patrapara Coal Block.

In view of the change in law and facts, the Company filed an application for withdrawal of its writ petition and seeking liberty to file a fresh writ petition to include subsequent developments. The Court granted liberty to the Company to include in its Writ Petition any other ancillary relief as it may deem appropriate. The Company has subsequently filed a writ petition on May 26, 2025 and a rejoinder on February 24, 2026, which are yet to be taken on record. The next date of hearing is schedule to be on July 23, 2026.

The receivable in respect of the de-allocated coal block in the financial statements of the Company amounts to ₹308.90 crore (net of provision of ₹138.74 crore).

Based on an assessment of the matter, including evidences supporting the expenditures and related claims, the Company considers the aforesaid amount to be good and fully recoverable.

## NOTES

forming part of the standalone financial statements

### 35. Other significant litigations (Contd.)

- (d) The Company upon merger of erstwhile Tata Steel Long Products Limited ('TSLP') has a receivable of ₹179.00 crore towards the de-allocated Radhikapur (East) Coal Block.

Pursuant to the judgement of the Hon'ble Supreme Court, the Government of India promulgated the Coal Mines (Special Provision) Act, 2015 (the "Coal Mines Act") for fresh allocation of the coal mines through auction. In terms of the Coal Mines Act, the prior allottee would be compensated for expenses incurred towards land and mine infrastructure. The validity of the Act has been challenged by Federation of Indian Mineral Industries ('FIMI') in 2019 before the Hon'ble Supreme Court to the extent that the Act does not provide grant of just, fair and equitable compensation in a time bound manner to the prior allottees of the coal blocks.

Tata Steel Long Products Limited (TSLP) has filed an application on December 15, 2022, before the Hon'ble

Supreme Court in the pending writ of FIMI seeking to expedite the disbursement of compensation. On March 6, 2023, the MoC submitted a status affidavit to the High Court with regard to the ongoing case which was filed by TSLP challenging the constitutional validity of the provisions dealing with the payment of compensation to the prior allottee of the Coal Mines (Special Provisions) Act, 2015. On March 7, 2023, TSLP submitted that the status affidavit did not comply with the previous orders passed. The Company has also filed a rejoinder on May 9, 2025, claiming compensation. On May 4, 2026 the matter was taken up for hearing and the Court was pleased to allow the Application for change of name from Tata Steel Long Products to Tata Steel Limited. Further, the application for amendment of writ petition also stands allowed on the same date. The case is listed for hearing on July 23, 2026.

Based on an assessment of the matter including evidence supporting the expenditure and claim and an external legal opinion obtained by the Company, the aforesaid amount is considered good and fully recoverable.

## NOTES

forming part of the standalone financial statements

### 36. Capital management

The Company's capital management is intended to create value for shareholders by facilitating the achievement of long-term and short-term goals of the Company.

The Company determines the amount of capital required on the basis of annual business plan coupled with long-term and short-term strategic investment and expansion plans. The funding needs are met through equity, cash generated from operations, long-term and short-term bank borrowings and issue of non-convertible debt securities.

The Company monitors the capital structure on the basis of net debt to equity ratio and maturity profile of the overall debt portfolio of the Company.

Net debt includes interest bearing borrowings including lease obligations less cash and cash equivalents, other bank balances (including non-current earmarked balances), current investments and foreign currency hedges against borrowings.

The table below summarises the capital, net debt and net debt to equity ratio of the Company.

|                                                                                        | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
|----------------------------------------------------------------------------------------|-------------------------|-------------------------|
| Equity share capital                                                                   | 1,248.60                | 1,248.60                |
| Other equity                                                                           | 1,34,284.71             | 1,25,483.34             |
| <b>Total equity (A)</b>                                                                | <b>1,35,533.31</b>      | <b>1,26,731.94</b>      |
| Non-current borrowings                                                                 | 50,666.45               | 51,040.98               |
| Non-current lease obligations                                                          | 3,766.16                | 3,177.06                |
| Current borrowings                                                                     | 14,037.73               | 8,640.44                |
| Current lease obligations                                                              | 578.93                  | 364.91                  |
| <b>Gross debt (B)</b>                                                                  | <b>69,049.27</b>        | <b>63,223.39</b>        |
| <b>Total capital (A+B)</b>                                                             | <b>2,04,582.58</b>      | <b>1,89,955.33</b>      |
| Gross debt as above                                                                    | 69,049.27               | 63,223.39               |
| Less: Current investments                                                              | 0.11                    | 0.12                    |
| Less: Cash and cash equivalents                                                        | 2,912.79                | 3,111.93                |
| Less: Other balances with banks (including non-current and current earmarked balances) | 386.16                  | 1,138.29                |
| Less: Foreign currency hedges against borrowings                                       | 664.28                  | 149.50                  |
| <b>Net debt (C)</b>                                                                    | <b>65,085.92</b>        | <b>58,823.55</b>        |
| <b>Net debt to equity<sup>(i)</sup></b>                                                | <b>0.50</b>             | <b>0.44</b>             |

- i) Net debt to equity ratio as at March 31, 2026 and March 31, 2025 has been computed based on average of opening and closing equity.

## NOTES

forming part of the standalone financial statements

### 37. Disclosures on financial instruments

This section gives an overview of the significance of financial instruments for the Company and provides additional information on balance sheet items that contain financial instruments.

The details of significant accounting policies, including the criteria for recognition, basis of measurement and the basis on which income and expenses are recognised in respect of each class of financial asset, financial liability and equity instrument are disclosed in note 2(m), page F36 to the financial statements.

#### (a) Financial assets and liabilities

The following tables present the carrying value and fair value of each category of financial assets and liabilities as at March 31, 2026 and March 31, 2025.

##### As at March 31, 2026

(₹ crore)

|                                         | Amortised cost     | Fair value through other comprehensive income | Derivative instruments in hedging relationship | Derivative instruments not in hedging relationship | Fair value through profit and loss | Total carrying value | Total fair value   |
|-----------------------------------------|--------------------|-----------------------------------------------|------------------------------------------------|----------------------------------------------------|------------------------------------|----------------------|--------------------|
| <b>Financial assets:</b>                |                    |                                               |                                                |                                                    |                                    |                      |                    |
| Cash and bank balances                  | 3,298.95           | -                                             | -                                              | -                                                  | -                                  | 3,298.95             | 3,298.95           |
| Trade receivables                       | 1,631.65           | -                                             | -                                              | -                                                  | -                                  | 1,631.65             | 1,631.65           |
| Investments                             | 6,831.35           | 86,601.30                                     | -                                              | -                                                  | 176.99                             | 93,609.64            | 94,531.73          |
| Derivatives                             | -                  | -                                             | 97.34                                          | 931.66                                             | -                                  | 1,029.00             | 1,029.00           |
| Loans                                   | 6.58               | -                                             | -                                              | -                                                  | -                                  | 6.58                 | 6.58               |
| Other financial assets                  | 2,205.44           | -                                             | -                                              | -                                                  | -                                  | 2,205.44             | 2,205.44           |
|                                         | <b>13,973.97</b>   | <b>86,601.30</b>                              | <b>97.34</b>                                   | <b>931.66</b>                                      | <b>176.99</b>                      | <b>1,01,781.26</b>   | <b>1,02,703.35</b> |
| <b>Financial liabilities:</b>           |                    |                                               |                                                |                                                    |                                    |                      |                    |
| Trade payables                          | 25,111.29          | -                                             | -                                              | -                                                  | -                                  | 25,111.29            | 25,111.29          |
| Borrowings other than lease obligations | 64,704.18          | -                                             | -                                              | -                                                  | -                                  | 64,704.18            | 65,029.14          |
| Derivatives                             | -                  | -                                             | 2.12                                           | 8.43                                               | -                                  | 10.55                | 10.55              |
| Other financial liabilities             | 10,398.55          | -                                             | -                                              | -                                                  | -                                  | 10,398.55            | 10,398.55          |
|                                         | <b>1,00,214.02</b> | <b>-</b>                                      | <b>2.12</b>                                    | <b>8.43</b>                                        | <b>-</b>                           | <b>1,00,224.57</b>   | <b>1,00,549.53</b> |

## NOTES

forming part of the standalone financial statements

### 37. Disclosures on financial instruments (Contd.)

As at March 31, 2025

(₹ crore)

|                                         | Amortised cost   | Fair value through other comprehensive income | Derivative instruments in hedging relationship | Derivative instruments not in hedging relationship | Fair value through profit and loss | Total carrying value | Total fair value |
|-----------------------------------------|------------------|-----------------------------------------------|------------------------------------------------|----------------------------------------------------|------------------------------------|----------------------|------------------|
| <b>Financial assets:</b>                |                  |                                               |                                                |                                                    |                                    |                      |                  |
| Cash and bank balances                  | 4,250.22         | -                                             | -                                              | -                                                  | -                                  | 4,250.22             | 4,250.22         |
| Trade receivables                       | 1,565.65         | -                                             | -                                              | -                                                  | -                                  | 1,565.65             | 1,565.65         |
| Investments                             | 6,133.96         | 65,532.35                                     | -                                              | -                                                  | 139.86                             | 71,806.17            | 73,571.04        |
| Derivatives                             | -                | -                                             | 21.97                                          | 217.10                                             | -                                  | 239.07               | 239.07           |
| Loans                                   | 4,840.96         | -                                             | -                                              | -                                                  | -                                  | 4,840.96             | 4,877.42         |
| Other financial assets                  | 3,073.56         | -                                             | -                                              | -                                                  | -                                  | 3,073.56             | 3,073.56         |
|                                         | <b>19,864.35</b> | <b>65,532.35</b>                              | <b>21.97</b>                                   | <b>217.10</b>                                      | <b>139.86</b>                      | <b>85,775.63</b>     | <b>87,576.96</b> |
| <b>Financial liabilities:</b>           |                  |                                               |                                                |                                                    |                                    |                      |                  |
| Trade payables                          | 20,601.11        | -                                             | -                                              | -                                                  | -                                  | 20,601.11            | 20,601.11        |
| Borrowings other than lease obligations | 59,681.42        | -                                             | -                                              | -                                                  | -                                  | 59,681.42            | 60,308.04        |
| Derivatives                             | -                | -                                             | 35.25                                          | 137.41                                             | -                                  | 172.66               | 172.66           |
| Other financial liabilities             | 10,994.58        | -                                             | -                                              | -                                                  | -                                  | 10,994.58            | 10,994.58        |
|                                         | <b>91,277.11</b> | <b>-</b>                                      | <b>35.25</b>                                   | <b>137.41</b>                                      | <b>-</b>                           | <b>91,449.77</b>     | <b>92,076.39</b> |

Investments in mutual funds and derivative instruments (other than those designated in a hedging relationship) are mandatorily classified as fair value through profit and loss.

#### (b) Fair value hierarchy

The following table provides an analysis of financial instruments that are measured subsequent to initial recognition at fair value, grouped into Level 1 to Level 3, as described below:

**Quoted prices in an active market (Level 1):** This level of hierarchy includes financial assets that are measured by reference to quoted prices (unadjusted) in active markets for identical assets or liabilities. This category consists of investment in quoted equity shares and mutual funds.

**Valuation techniques with observable inputs (Level 2):** This level of hierarchy includes financial assets and liabilities, measured using inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices). This level of hierarchy includes the Company's over-the-counter (OTC) derivative contracts.

**Valuation techniques with significant unobservable inputs (Level 3):** This level of hierarchy includes financial assets and liabilities measured using inputs that are not based on observable market data (unobservable inputs). Fair value is determined in whole or in part, using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data. This Level includes investment in unquoted equity shares and preference shares.

## NOTES

forming part of the standalone financial statements

### 37. Disclosures on financial instruments (Contd.)

(₹ crore)

|                                  | As at March 31, 2026 |                 |                  |                  |
|----------------------------------|----------------------|-----------------|------------------|------------------|
|                                  | Level 1              | Level 2         | Level 3          | Total            |
| <b>Financial assets:</b>         |                      |                 |                  |                  |
| Investments in mutual funds      | 0.11                 | -               | -                | 0.11             |
| Investments in equity shares     | 1,861.58             | -               | 84,739.72        | 86,601.30        |
| Investments in preference shares | -                    | -               | 176.88           | 176.88           |
| Derivative financial assets      | -                    | 1,029.00        | -                | 1,029.00         |
|                                  | <b>1,861.69</b>      | <b>1,029.00</b> | <b>84,916.60</b> | <b>87,807.29</b> |
| <b>Financial liabilities:</b>    |                      |                 |                  |                  |
| Derivative Financial Liabilities | -                    | 10.55           | -                | 10.55            |
|                                  | <b>-</b>             | <b>10.55</b>    | <b>-</b>         | <b>10.55</b>     |

(₹ crore)

|                                  | As at March 31, 2025 |               |                  |                  |
|----------------------------------|----------------------|---------------|------------------|------------------|
|                                  | Level 1              | Level 2       | Level 3          | Total            |
| <b>Financial assets:</b>         |                      |               |                  |                  |
| Investments in mutual funds      | 0.12                 | -             | -                | 0.12             |
| Investments in equity shares     | 1,871.85             | -             | 63,660.50        | 65,532.35        |
| Investments in preference shares | -                    | -             | 139.74           | 139.74           |
| Derivative financial assets      | -                    | 239.07        | -                | 239.07           |
|                                  | <b>1,871.97</b>      | <b>239.07</b> | <b>63,800.24</b> | <b>65,911.28</b> |
| <b>Financial liabilities:</b>    |                      |               |                  |                  |
| Derivative Financial Liabilities | -                    | 172.66        | -                | 172.66           |
|                                  | <b>-</b>             | <b>172.66</b> | <b>-</b>         | <b>172.66</b>    |

- (i) Current financial assets and liabilities are stated at carrying value which is approximately equal to their fair value.
- (ii) Derivatives are fair valued using market observable rates and published prices together with forecasted cash flow information where applicable.
- (iii) Investments carried at fair value are generally based on market price quotations. Investments in equity shares of subsidiaries included in Level 3 of the fair value hierarchy have been valued primarily using the income approach to arrive at their fair value. Fair values are determined in whole or in part, using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data. The valuation requires management to make certain assumption about the model inputs including forecast cash flows, discount rate and volatility. Cost of other unquoted equity instruments has been considered as an appropriate estimate of fair value because of a wide range of possible fair value measurements and cost represents the best estimate of fair value within that range.
- (iv) Fair value of borrowings which have a quoted market price in an active market is based on its market price which is categorised as Level 1. Fair value of borrowings which do not have an active market or are unquoted is estimated by discounting expected future cash flows using a discount rate equivalent to the risk-free rate of return adjusted for credit spread considered by lenders for instruments of similar maturities which is categorised as Level 2 in the fair value hierarchy.



## NOTES

forming part of the standalone financial statements

### 37. Disclosures on financial instruments (Contd.)

- (v) Management uses its best judgement in estimating the fair value of its financial instruments. However, there are inherent limitations in any estimation technique. Therefore, for substantially all financial instruments, the fair value estimates presented above are not necessarily indicative of the amounts that the Company could have realised or paid in sale transactions as of respective dates. As such, fair value of financial instruments subsequent to the reporting dates may be different from the amounts reported at each reporting date.
- (vi) There have been no transfers between Level 1 and Level 2 for the year ended March 31, 2026 and March 31, 2025.
- (vii) Reconciliation of Level 3 fair value measurement is as below:

|                                                                          | (₹ crore)                    |                              |
|--------------------------------------------------------------------------|------------------------------|------------------------------|
|                                                                          | Year ended<br>March 31, 2026 | Year ended<br>March 31, 2025 |
| Balance at the beginning of the year                                     | 63,800.24                    | 58,089.76                    |
| Additions during the year                                                | 24,188.67                    | 29,299.30                    |
| Fair value changes through profit or loss and other comprehensive income | (3,072.31)                   | (23,588.82)                  |
| <b>Balance at the end of the year</b>                                    | <b>84,916.60</b>             | <b>63,800.24</b>             |

#### (c) Derivative financial instruments

Derivative instruments used by the Company include forward exchange contracts, interest rate swaps, currency swaps, options and interest rate caps and collars. These financial instruments are utilised to hedge future transactions and cash flows and are subject to hedge accounting under Ind AS 109 "Financial Instruments" wherever possible. The Company does not hold or issue derivative financial instruments for trading purposes. All transactions in derivative financial instruments are undertaken to manage risks arising from underlying business activities.

The following table sets out the fair value of derivatives held by the Company as at the end of the reporting period:

|                                                                     | (₹ crore)            |              |                      |               |
|---------------------------------------------------------------------|----------------------|--------------|----------------------|---------------|
|                                                                     | As at March 31, 2026 |              | As at March 31, 2025 |               |
|                                                                     | Assets               | Liabilities  | Assets               | Liabilities   |
| (a) Foreign currency forwards, swaps, options and commodity futures | 995.85               | 10.33        | 217.10               | 172.66        |
| (b) Interest rate swaps and collars                                 | 33.15                | 0.22         | 21.97                | -             |
|                                                                     | <b>1,029.00</b>      | <b>10.55</b> | <b>239.07</b>        | <b>172.66</b> |
| <b>Classified as:</b>                                               |                      |              |                      |               |
| Non-current                                                         | 664.28               | -            | -                    | 46.26         |
| Current                                                             | 364.72               | 10.55        | 239.07               | 126.40        |
|                                                                     | <b>1,029.00</b>      | <b>10.55</b> | <b>239.07</b>        | <b>172.66</b> |

As at the end of the reporting period, total notional amount of outstanding foreign currency contracts, commodity futures, options, interest rate swaps and collars that the Company has committed to is as below:

|                                                  | (US \$ million)         |                         |
|--------------------------------------------------|-------------------------|-------------------------|
|                                                  | As at<br>March 31, 2026 | As at<br>March 31, 2025 |
| (i) Foreign currency forwards, swaps and options | 2,368.00                | 2,169.89                |
| (ii) Interest rate swaps and collars             | 525.00                  | 146.67                  |
|                                                  | <b>2,893.00</b>         | <b>2,316.56</b>         |

## NOTES

forming part of the standalone financial statements

### 37. Disclosures on financial instruments (Contd.)

#### (d) Transfer of financial assets

The Company transfers certain trade receivables under discounting arrangements with banks/financial institutions. Some of such arrangements do not qualify for de-recognition due to recourse arrangements being in place. Consequently, the proceeds received from transfer are recorded as short-term borrowings from banks and financial institutions. As at March 31, 2026 and March 31, 2025, there has been no such transfer of trade receivables.

#### (e) Financial risk management

In the course of its business, the Company is exposed primarily to fluctuations in foreign currency exchange rates, interest rates, equity prices, liquidity and credit risk, which may adversely impact the fair value of its financial instruments.

The Company has a risk management policy which not only covers the foreign exchange risks but also other risks associated with the financial assets and liabilities such as interest rate risks and credit risks. The risk management policy is approved by the Board of Directors. The risk management framework aims to:

- (i) create a stable business planning environment by reducing the impact of currency and interest rate fluctuations on the Company's business plan.
- (ii) achieve greater predictability to earnings by determining the financial value of the expected earnings in advance.

#### (i) Market risk

Market risk is the risk of any loss in future earnings, in realising fair values or in future cash flows that may result from a change in the price of a financial instrument. The value of a financial instrument may change as a result of changes in interest rates, foreign currency exchange rates, equity price fluctuations, liquidity and other market changes. Future specific market movements cannot be normally predicted with reasonable accuracy.

#### (a) Market risk - Foreign currency exchange rate risk:

The fluctuation in foreign currency exchange rates may have a potential impact on the statement of profit and loss and equity, where any transaction references more than one currency or where assets/liabilities are denominated in a currency other than the functional currency of the Company.

The Company, as per its risk management policy, uses foreign exchange and other derivative instruments primarily to hedge foreign exchange and interest rate exposure. Any weakening of the functional currency may impact the Company's cost of imports and cost of borrowings and consequently may increase the cost of financing the Company's capital expenditures.

Since the entire exposure is hedged, a 10% appreciation/depreciation of foreign currencies with respect to functional currency of the Company would not result in any increase/decrease in the Company's net profit/equity before considering tax impacts for the year ended March 31, 2026 (March 31, 2025: ₹155.06 crore).

The foreign exchange rate sensitivity is calculated by assuming a simultaneous parallel foreign exchange rates shift of all the currencies by 10% against the functional currency of the Company.

The sensitivity analysis has been based on the composition of the Company's financial assets and liabilities as at March 31, 2026 and March 31, 2025 excluding trade payables, trade receivables, other derivative and non-derivative financial instruments (except investment in preference shares and loans receivable) not forming part of debt and which do not present a material exposure. The period end balances are not necessarily representative of the average balance outstanding during the period.

## NOTES

forming part of the standalone financial statements

### 37. Disclosures on financial instruments (Contd.)

#### (b) Market risk - Interest rate risk:

Interest rate risk is measured by using the cash flow sensitivity for changes in variable interest rates. Any movement in the reference rates could have an impact on the Company's cash flows as well as costs. The Company is subject to variable interest rates on some of its interest bearing liabilities. The Company's interest rate exposure is mainly related to debt obligations.

Based on the composition of debt as at March 31, 2026 and March 31, 2025 a 100 basis points increase in interest rates would increase the Company's finance costs (before considering interest eligible for capitalisation) and consequently reduce net profit/equity before considering tax impacts by approximately ₹356.47 crore for the year ended March 31, 2026 (March 31, 2025: ₹397.01 crore).

The risk estimates provided assume a parallel shift of 100 basis points interest rate across all yield curves. This calculation also assumes that the change occurs at the balance sheet date and has been calculated based on risk exposures outstanding as at that date. The period end balances are not necessarily representative of the average debt outstanding during the period.

#### (c) Market risk - Equity price risk:

Equity price risk is related to change in market reference price of investments in equity securities held by the Company.

The fair value of quoted investments held by the Company exposes the Company to equity price risks. In general, these investments are not held for trading purposes.

The fair value of quoted investments in equity, classified as fair value through other comprehensive income as at March 31, 2026 was ₹1,861.58 crore (March 31, 2025: ₹1871.85 crore).

A 10% change in equity prices of such securities held as at March 31, 2026 and March 31, 2025 would result in an impact of ₹186.16 crore and ₹187.19 crore respectively on equity before considering tax impact.

#### (ii) Credit risk:

Credit risk is the risk of financial loss arising from counter-party failure to repay or service debt according to the contractual terms or obligations. Credit risk encompasses both the direct risk of default and the risk of deterioration of credit worthiness as well as concentration risks.

The Company has a policy of dealing only with credit worthy counter parties and obtaining sufficient collateral, where appropriate as a means of mitigating the risk of financial loss from defaults.

Financial instruments that are subject to credit risk and concentration thereof principally consist of trade receivables, loans receivables, investments in debt securities and mutual funds, balances with bank, bank deposits, derivatives and financial guarantees provided by the Company. None of the financial instruments of the Company result in material concentration of credit risk except investment in preference shares made by the Company in its subsidiary companies.

The carrying value of financial assets represents the maximum credit risk. The maximum exposure to credit risk was ₹15,179.57 crore and ₹20,180.07 crore, as at March 31, 2026 and March 31, 2025 respectively, being the total carrying value of trade receivables, balances with bank, bank deposits, investments in debt securities, mutual funds, loans, derivative assets and other financial assets.

The risk relating to trade receivables is presented in note 12, page F67.

## NOTES

forming part of the standalone financial statements

### 37. Disclosures on financial instruments (Contd.)

The Company's exposure to customers is diversified and no single customer contributes to more than 10% of outstanding trade receivables as at March 31, 2026 and March 31, 2025.

In respect of financial guarantees provided by the Company to banks/financial institutions, the maximum exposure which the Company is exposed to is the maximum amount which the Company would have to pay if the guarantee is called upon. Based on the expectation at the end of the reporting period, the Company considers that it is more likely than not that such an amount will not be payable under the guarantees provided.

#### (iii) Liquidity risk

Liquidity risk refers to the risk that the Company cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements.

The Company has obtained fund and non-fund based working capital lines from various banks. Furthermore, the Company have access to undrawn lines of committed and uncommitted borrowing/facilities, funds from debt markets through commercial paper programs, non-convertible debentures and other debt instruments. The Company invests its surplus funds in bank fixed deposits and in mutual funds, which carry no or low market risk.

The Company also constantly monitors funding options available in the debt and capital markets with a view to maintaining financial flexibility.

The Company's liquidity position remains strong at **₹25,579.13** crore as at March 31, 2026, comprising **₹3,299.06** crore in the form of current investments, cash and cash equivalents and other balances with banks (including non-current and current earmarked balances) and **₹22,280.07** crore in committed undrawn bank lines including **₹11,770.60** crore in respect of subsidiary which can be utilised for the Company's global operations as required.

## NOTES

forming part of the standalone financial statements

### 37. Disclosures on financial instruments (Contd.)

The following table shows a maturity analysis of the anticipated cash flows including interest obligations for the Company's derivative and non- derivative financial liabilities on an undiscounted basis, which therefore differ from both carrying value and fair value. Floating rate interest is estimated using the prevailing interest rate at the end of the reporting period. Cash flows in foreign currencies are translated using the period end spot rates:

(₹ crore)

|                                                           | As at March 31, 2026 |                       |                    |                           |                      |
|-----------------------------------------------------------|----------------------|-----------------------|--------------------|---------------------------|----------------------|
|                                                           | Carrying value       | Contractual cashflows | Less than one year | Between one to five years | More than five years |
| <b>Non-derivative financial liabilities:</b>              |                      |                       |                    |                           |                      |
| Borrowings other than lease obligation including interest | 65,085.01            | 84,323.07             | 18,016.71          | 37,601.96                 | 28,704.40            |
| Lease obligations including interest obligations          | 4,404.75             | 7,022.89              | 1,120.14           | 2,898.92                  | 3,003.84             |
| Trade payables                                            | 25,111.29            | 25,111.29             | 25,111.29          | -                         | -                    |
| Other financial liabilities                               | 9,958.05             | 10,223.58             | 9,105.47           | 718.33                    | 399.78               |
|                                                           | <b>1,04,559.10</b>   | <b>1,26,680.83</b>    | <b>53,353.61</b>   | <b>41,219.21</b>          | <b>32,108.02</b>     |
| <b>Derivative financial liabilities</b>                   | <b>10.55</b>         | <b>10.55</b>          | <b>10.55</b>       | <b>-</b>                  | <b>-</b>             |

(₹ crore)

|                                                           | As at March 31, 2025 |                       |                    |                           |                      |
|-----------------------------------------------------------|----------------------|-----------------------|--------------------|---------------------------|----------------------|
|                                                           | Carrying value       | Contractual cashflows | Less than one year | Between one to five years | More than five years |
| <b>Non-derivative financial liabilities:</b>              |                      |                       |                    |                           |                      |
| Borrowings other than lease obligation including interest | 60,106.33            | 83,042.76             | 12,875.24          | 36,888.08                 | 33,279.44            |
| Lease obligations including interest obligations          | 3,583.00             | 5,906.11              | 872.32             | 2,574.38                  | 2,459.41             |
| Trade payables                                            | 20,601.11            | 20,601.11             | 20,601.11          | -                         | -                    |
| Other financial liabilities                               | 10,528.64            | 10,802.10             | 9,381.95           | 1,005.22                  | 414.93               |
|                                                           | <b>94,819.08</b>     | <b>1,20,352.08</b>    | <b>43,730.62</b>   | <b>40,467.68</b>          | <b>36,153.78</b>     |
| <b>Derivative financial liabilities</b>                   | <b>172.66</b>        | <b>172.66</b>         | <b>126.40</b>      | <b>46.26</b>              | <b>-</b>             |

### 38. Segment reporting

The Company is primarily engaged in the business of manufacture and distribution of steel products and is operated out of India. In accordance with Ind AS 108 "Operating Segments", the Company has presented segment information on the basis of its consolidated financial statements which forms a part of this report.

## NOTES

forming part of the standalone financial statements

### 39. Related party transactions

The Company's related parties principally consist of its subsidiaries, associates and joint ventures, Tata Sons Private Limited including its subsidiaries and joint ventures. The Company routinely enters into transactions with these related parties in the ordinary course of business at market rates and terms.

The following table summarises related party transactions and balances included in the financial statements of the Company for the year ended/as at March 31, 2026 and March 31, 2025:

(₹ crore)

|                                                             | Subsidiaries     | Associates   | Joint Ventures  | Tata Sons Private Limited, its subsidiaries and joint ventures | Total            |
|-------------------------------------------------------------|------------------|--------------|-----------------|----------------------------------------------------------------|------------------|
| <b>Purchase of goods</b>                                    | <b>30,745.29</b> | <b>40.72</b> | <b>568.38</b>   | <b>1,207.02</b>                                                | <b>32,561.41</b> |
|                                                             | 33,199.17        | 70.30        | 39.09           | 953.24                                                         | 34,261.80        |
| <b>Sale of goods<sup>#</sup></b>                            | <b>8,914.61</b>  | <b>5.28</b>  | <b>5,566.24</b> | <b>4,416.04</b>                                                | <b>18,902.17</b> |
|                                                             | 8,069.01         | 3.13         | 6,065.53        | 2,972.46                                                       | 17,110.13        |
| <b>Services received</b>                                    | <b>2,295.64</b>  | <b>85.15</b> | <b>2,626.42</b> | <b>960.31</b>                                                  | <b>5,967.52</b>  |
|                                                             | 2,294.68         | 56.61        | 1,589.76        | 630.98                                                         | 4,572.03         |
| <b>Services rendered</b>                                    | <b>242.65</b>    | <b>8.03</b>  | <b>53.66</b>    | <b>11.43</b>                                                   | <b>315.77</b>    |
|                                                             | 130.74           | 2.51         | 36.24           | 2.69                                                           | 172.18           |
| <b>Securitization of receivables</b>                        | <b>-</b>         | <b>-</b>     | <b>-</b>        | <b>8,490.66</b>                                                | <b>8,490.66</b>  |
|                                                             | -                | -            | -               | 6,397.11                                                       | 6,397.11         |
| <b>Interest income recognised</b>                           | <b>950.91</b>    | <b>-</b>     | <b>71.55</b>    | <b>1.66</b>                                                    | <b>1,024.12</b>  |
|                                                             | 1,028.25         | -            | 95.80           | 2.53                                                           | 1,126.58         |
| <b>Interest expense recognised</b>                          | <b>11.69</b>     | <b>-</b>     | <b>143.87</b>   | <b>36.93</b>                                                   | <b>192.49</b>    |
|                                                             | 10.93            | -            | 152.51          | 28.64                                                          | 192.08           |
| <b>Dividend paid<sup>(vi)</sup></b>                         | <b>3.79</b>      | <b>-</b>     | <b>-</b>        | <b>1,308.93</b>                                                | <b>1,312.72</b>  |
|                                                             | 3.79             | -            | -               | 1,308.93                                                       | 1,312.72         |
| <b>Dividend received<sup>(vi)</sup></b>                     | <b>353.04</b>    | <b>-</b>     | <b>120.93</b>   | <b>81.87</b>                                                   | <b>555.84</b>    |
|                                                             | 163.47           | -            | 79.28           | 43.31                                                          | 286.06           |
| <b>Provision recognised for receivables during the year</b> | <b>828.62</b>    | <b>-</b>     | <b>-</b>        | <b>-</b>                                                       | <b>828.62</b>    |
|                                                             | 74.91            | -            | -               | -                                                              | 74.91            |
| <b>Management contracts*</b>                                | <b>5.76</b>      | <b>-</b>     | <b>0.39</b>     | <b>204.23</b>                                                  | <b>210.38</b>    |
|                                                             | 83.11            | 5.56         | 21.49           | 200.00                                                         | 310.16           |
| <b>Investments made</b>                                     | <b>22,411.20</b> | <b>26.05</b> | <b>-</b>        | <b>-</b>                                                       | <b>22,437.25</b> |
|                                                             | 29,261.64        | 252.73       | -               | -                                                              | 29,514.37        |
| <b>Loans given<sup>®</sup></b>                              | <b>114.83</b>    | <b>-</b>     | <b>-</b>        | <b>-</b>                                                       | <b>114.83</b>    |
|                                                             | 1,138.20         | -            | -               | -                                                              | 1,138.20         |
| <b>Loans repaid</b>                                         | <b>5,116.05</b>  | <b>-</b>     | <b>-</b>        | <b>-</b>                                                       | <b>5,116.05</b>  |
|                                                             | 201.65           | -            | -               | -                                                              | 201.65           |
| <b>Outstanding loans and receivables</b>                    | <b>5,265.89</b>  | <b>4.11</b>  | <b>107.97</b>   | <b>116.63</b>                                                  | <b>5,494.60</b>  |
|                                                             | 8,376.72         | 2.30         | 1,274.11        | 216.51                                                         | 9,869.64         |
| <b>Provision for outstanding loans and receivables</b>      | <b>3,560.23</b>  | <b>0.03</b>  | <b>-</b>        | <b>-</b>                                                       | <b>3,560.26</b>  |
|                                                             | 2,731.61         | -            | -               | -                                                              | 2,731.64         |

## NOTES

forming part of the standalone financial statements

### 39. Related party transactions (Contd.)

(₹ crore)

|                                                    | Subsidiaries     | Associates   | Joint Ventures  | Tata Sons Private Limited, its subsidiaries and joint ventures | Total            |
|----------------------------------------------------|------------------|--------------|-----------------|----------------------------------------------------------------|------------------|
| <b>Outstanding payables</b>                        | <b>14,360.86</b> | <b>34.85</b> | <b>1,642.18</b> | <b>659.64</b>                                                  | <b>16,697.53</b> |
|                                                    | <i>10,731.09</i> | <i>19.46</i> | <i>1,746.63</i> | <i>286.06</i>                                                  | <i>12,783.24</i> |
| <b>Guarantees provided outstanding<sup>^</sup></b> | <b>1.11</b>      | <b>-</b>     | <b>82.59</b>    | <b>-</b>                                                       | <b>83.70</b>     |
|                                                    | <i>48.68</i>     | <i>24.17</i> | <i>82.59</i>    | <i>-</i>                                                       | <i>155.44</i>    |
| <b>Purchase of Assets</b>                          | <b>142.81</b>    | <b>-</b>     | <b>13.58</b>    | <b>11.71</b>                                                   | <b>168.10</b>    |
|                                                    | <i>260.81</i>    | <i>70.30</i> | <i>-</i>        | <i>-</i>                                                       | <i>331.11</i>    |
| <b>Sale of Fixed Assets</b>                        | <b>-</b>         | <b>-</b>     | <b>-</b>        | <b>-</b>                                                       | <b>-</b>         |
|                                                    | <i>0.14</i>      | <i>-</i>     | <i>22.47</i>    | <i>-</i>                                                       | <i>22.61</i>     |

Figures in italics represents comparative figures of previous year.

\* Primarily includes brand equity due to Tata Sons Private Limited.

#Includes sale of power and water.

@ Includes rollover of loans and interest thereon.

<sup>^</sup> Includes guarantees renewed during the year.

- (i) The details of remuneration paid to key managerial personnel (Chief Executive Officer & Managing Director, Executive Director & Chief Financial Officer) and payment to non-executive directors are provided in note 27, page F90 & note 30, page F91 respectively.

The Company has paid dividend of **₹1,10,094.00** (2024-25: ₹1,10,094.00) to key managerial personnel and **₹21,351.00** (2024-25: ₹21,351.00) to relatives of key managerial personnel during the year ended March 31, 2026.

- (ii) During the year ended March 31, 2026, the Company has contributed **₹497.73** crore (2024-25: ₹710.81 crore) to post employment benefit plans.

As at March 31, 2026, amount receivable (net) from post-employment benefit fund is **₹72.52** crore (2024-25: ₹144.90 crore) on account of retirement benefit obligations paid by the Company directly.

- (iii) Details of investments made by the Company in shares of its subsidiaries, associates and joint ventures is disclosed in note 6, page F52 and note 48, page F128.

- (iv) Commitments with respect to subsidiaries, associates and joint ventures is disclosed in note 34(B), page F105.

- (v) Transactions with joint ventures and associates have been disclosed at full value and not at their proportionate share.

- (vi) Dividend paid includes **₹1,284.69** crore (2024-25: ₹1,284.69 crore) paid to Tata Sons Private Limited. Dividend received includes **₹80.31** crore (2024-25: ₹43.31 crore) received from Tata Sons Private Limited.

## NOTES

forming part of the standalone financial statements

### 40. Financial ratios

The ratios as per the latest amendment to Schedule III are as below:

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Year ended<br>March 31, 2026 | (₹ crore)<br>Year ended<br>March 31, 2025 |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------|-------------------------------------------|
| (1) <b>Current ratio</b><br>(Total current assets/Current liabilities)<br>[Current liabilities: Total current liabilities - Current maturities of non-current borrowings and lease obligations]                                                                                                                                                                                                                                                                                                                               | 0.58                         | 0.69                                      |
| (2) <b>Debt equity ratio<sup>#</sup></b><br>(Debt equity ratio: Net debt equity ratio)<br>(Net debt/Average equity)<br>[Net debt: Non-current and current borrowings + Non-current and current lease liabilities - Current investments - Cash and cash equivalents - Other balances with banks (including non-current and current earmarked balances) - Foreign currency hedges against borrowings]<br>[Equity: Equity share capital + Other equity]                                                                          | 0.50                         | 0.44                                      |
| (3) <b>Debt service coverage ratio<sup>5</sup></b> (EBIT/(Net finance charges + Interest income from group companies + Scheduled principal repayments of non-current borrowings and lease obligations (excluding prepayments) during the period))<br>[EBIT: Profit before taxes +/- Exceptional items + Net finance charges]<br>[Net finance charges: Finance costs (excluding interest on current borrowings) - Interest income - Dividend income from current investments - Net gain/(loss) on sale of current investments] | 2.85                         | 3.82                                      |
| (4) <b>Return on Equity (%)</b><br>(Profit after tax (PAT)/Average Equity)<br>[Equity: Equity share capital + Other equity]                                                                                                                                                                                                                                                                                                                                                                                                   | 12.25                        | 10.43                                     |
| (5) <b>Inventory turnover ratio (in days)</b><br>(Average inventory/Sale of products in days)                                                                                                                                                                                                                                                                                                                                                                                                                                 | 62                           | 67                                        |
| (6) <b>Debtors turnover ratio (in days)</b><br>(Average trade receivables/Turnover in days)<br>[Turnover: Revenue from operations]                                                                                                                                                                                                                                                                                                                                                                                            | 4                            | 4                                         |
| (7) <b>Trade payables turnover ratio (in days)</b><br>(Average Trade Payables/Expenses)<br>[Expenses: Total Expenses - Finance Cost - Depreciation and Amortisation Expense - Employee Benefit Expenses in respect of Retirement Benefits - Other expenses with respect to Royalty, Rates & Taxes, Provision for Doubtful Debts & Advances, Provision for Impairment and Foreign Exchange Gain/Loss]                                                                                                                          | 85                           | 76                                        |
| (8) <b>Net capital turnover ratio (in days)*</b><br>(Average Working Capital/Turnover)<br>[Working Capital: Current Assets - Current Liabilities]<br>[Current Liabilities: Total Current liabilities - Current maturities of long-term debt and lease obligations]<br>[Turnover: Revenue from operations]                                                                                                                                                                                                                     | *                            | *                                         |



## NOTES

forming part of the standalone financial statements

### 40. Financial ratios(Contd.)

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Year ended<br>March 31, 2026 | (₹ crore)<br>Year ended<br>March 31, 2025 |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------|-------------------------------------------|
| (9) <b>Net profit ratio (%)</b><br>(Net profit after tax/Turnover)<br>[Turnover: Revenue from operations]                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 11.50                        | 10.54                                     |
| (10) <b>Return on Capital Employed (%)</b><br>(EBIT/Average Capital Employed)<br>[Capital Employed: Equity share capital + Other equity + Non-current and current borrowings +<br>Current maturities of long- term debt and lease obligations + Deferred tax liabilities –<br>Capital Work-in-Progress – Intangible Assets under Development]<br>[EBIT: Profit before taxes +/- Exceptional items + Net finance charges]<br>[Net finance charges: Finance costs - Interest income - Dividend income from current investments -<br>Net gain/(loss) on sale of current investments] | 14.49                        | 13.34                                     |
| (11) <b>Return on investment (%)^</b><br>(Weighted average annualised return on current investment)<br>[Return on current investment: Net gain/(loss) on sale of mutual funds/Cost of purchase of mutual funds]                                                                                                                                                                                                                                                                                                                                                                   | 4.74                         | 6.00                                      |

\* Net working capital is negative

# Change in the definition of Debt equity ratio and no change in the prior periods ratio presented above.

\$ Variation in coverage ratios is primarily due to higher scheduled repayments during the year ended March 31, 2026

^ Change in the definition of return on investment and corresponding change in prior period's ratio presented above.

## NOTES

forming part of the standalone financial statements

- 41.** On November 21, 2025, the Government of India notified the four Labour Codes - the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020, and the Occupational Safety, Health and Working Conditions Code, 2020 - consolidating 29 existing labour laws. The Ministry of Labour & Employment published draft Central Rules and FAQs to enable assessment of the financial impact due to changes in regulations. The Company has assessed and disclosed the incremental impact of these changes, consistent with the guidance provided by the Institute of Chartered Accountants of India. The Company continues to monitor the finalisation of Central/State Rules and clarifications from the Government on other aspects of the Labour Code and would provide appropriate accounting effect on the basis of such developments as and when needed.
- 42.** The erstwhile Tata Steel BSL Limited, now merged with the Company, was eligible under Package Scheme of Incentives, 1993 and 2007, accordingly as per the provisions of the Scheme it had obtained eligibility certificate from Directorate of Industries. As per the Scheme, the Tata Steel BSL Limited has an option to defer the payment of sales tax for a period of fourteen years upto a specified limit (twenty-one years in case the specified limit is not availed in fourteen years). The said tax collected shall be paid after fourteen years in five annual equal instalments and has been recognised as deferred sales tax liability, which as at March 31, 2026 amounts to **₹34.25 crore** (March 31, 2025: ₹30.78 crore). Post-introduction of GST, the Maharashtra government modified the scheme, whereby the Company needs to deposit the GST and claim refund of the same. During the year, the Company has recognised **₹17.51 crore** (2024-25: ₹23.92 crore) as an income on account of such scheme.
- 43. (a)** The Board of Directors of the Company at its meeting held on July 31, 2024, considered, and approved the amalgamation of Rujuvalika Investments Limited ("RIL") into and with the Company, by way of scheme of amalgamation ('Scheme'). RIL is an investment company having investments in shares of listed and unlisted body corporates and in mutual funds. It is registered under Section 45-IA of Reserve Bank of India Act, 1934 as Non-Banking Financial Company ('NBFC') holding certificate of registration as NBFC. RIL, however, does not have any active operations as a NBFC.
- As part of the Scheme, among other things, equity shares held by the Company in the RIL shall stand cancelled. No shares of the Company shall be issued, nor any cash payment shall be made whatsoever by the Company in lieu of cancellation of shares of RIL (being wholly owned subsidiary). The Scheme is subject to certain conditions, including approval from regulatory authorities and sanction of the Scheme by the Hon'ble National Company Law Tribunal ('NCLT'), Mumbai bench.
- (b)** The Board of Directors of the Company at its meeting held on March 17, 2026, considered, and approved the amalgamation of Neelachal Ispat Nigam Limited ("NINL") into and with the Company, by way of scheme of amalgamation ('Scheme').
- As part of the Scheme, among other things, equity and preference shares held by the Company in NINL shall stand cancelled. No shares of the Company shall be issued, nor any cash payment shall be made whatsoever by the Company in lieu of cancellation of shares of NINL (being wholly owned subsidiary). The Scheme is subject to certain conditions, including approval from regulatory authorities and sanction of the Scheme by the relevant bench of the Hon'ble National Company Law Tribunal ('NCLT').